

THE ART OF NFTs: COPYRIGHT, CONTRACTS, AND THE FALLACY OF OWNERSHIP

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With cryptocurrency Bitcoin's prices continuing to hit record highs, overall public interest in NFTs will likely increase significantly as it ordinarily has in the past. But before purchasing an NFT, it is important that consumers understand exactly what they are buying. Many assume their purchase will include the associated art that is shown in the individual NFT marketplace listing, whether it be a CryptoKitty, a Bored Ape, or a single video clip from an NBA game. However, in reality, most buyers are getting little more than a few lines of code on the blockchain.

What explains these misconceptions, especially when some NFTs are being sold for over a million dollars? More often than not, it is due to a combination of misunderstandings relating to technology, copyright law, and contracts. Complicating matters is that an NFT does not fit within a single existing legal framework, whether it be property law, copyright law, or contract law. Additionally, there are significant differences between NFT marketplaces, each one with its own set of contractual terms and conditions. Furthermore, individual artists and sellers on these sites invariably have their own agreements that often define how, if at all, the NFT buyer may utilize the artwork linked to the NFT. Lastly, but especially problematic, is how difficult it is to locate these contractual provisions, often requiring a consumer to essentially go on a virtual scavenger hunt to try to find the terms and conditions that purportedly control.

Accordingly, in this article, I advocate for increased transparency to ensure consumers have an adequate opportunity to identify what rights they may or may not have

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in the underlying artwork. This is necessary not just to avoid disappointment but to prevent purchasers from opening themselves up to potential legal liability, including copyright infringement. A possible NFT buyer should be able to discern whether reproducing, distributing, or otherwise commercially exploiting a work is permitted to calculate the true cost of an NFT purchase.

This Article begins in Section II by discussing the technical aspects of NFTs. Next, Section III studies the fundamental copyright rights, doctrines, and limitations pertinent to NFTs. Additionally, the Section provides a real-life example of how confusion over copyright rights can lead to very costly mistakes. Section IV explores how methods of contract formation have evolved in response to technological advancements, including the increased use of “clickwrap” and “browsewrap” agreements in the digital age. Section V examines the problematic ways NFT contractual terms are presented to consumers by studying the actual listings of several NFTs currently offered for sale and detailing the copious number of steps a user must take to locate the agreement that supposedly controls the parties’ transaction. These provisions are then analyzed and compared to illustrate the extent to which an NFT seller may or may not choose to provide the purchaser with rights to any digital artwork associated with the non-fungible token. Lastly, Section VI provides recommendations for improving transparency in the NFT marketplace.

TABLE OF CONTENTS

I. INTRODUCTION.....	210
II. NFT BASICS	214
III. COPYRIGHT LAW	219
A. BUNDLE OF RIGHTS	221
B. EXCLUSIONS AND LIMITATIONS.....	222
1. <i>Limitation on Distribution Right: First Sale</i>	
<i>Doctrine</i>	223
2. <i>Limitation on the Right to Public Display</i>	225
3. <i>Fair Use</i>	231
4. <i>Material Objects, Copyright Ownership, and</i>	
<i>“Original Copies”</i>	233
C. A BAD EXAMPLE.....	235
IV. CONTRACTS	237
V. “PURCHASING” AN NFT	242
A. OPENSEA	243
1. <i>Ghosts</i>	248
2. <i>Cats</i>	252
3. <i>Dogs</i>	255
B. NBA TOP SHOT	257
VI. “OWNING” AN NFT.....	260
VII. CONCLUSION.....	264

I. INTRODUCTION

At the height of the digital art market in 2021, non-fungible tokens (NFTs)¹ were estimated to be worth more than \$40 billion.² These digital identifiers are often associated with works of art, such as paintings, photographs, music, trading cards, or film clips, although almost anything can be tokenized.³ While the value of various cryptocurrencies, such as Bitcoin and Ethereum, took a sharp downturn in the past few years and a recent study of current NFT values appears at first glance to be a harbinger of doom,⁴ there are numerous signs that the NFT market may still be very much alive.

The September 2023 headline from *Rolling Stone's* magazine bluntly declared: *Your NFTs Are Actually—Finally—Totally Worthless*.⁵ The article detailed a recent report by finance and blockchain researchers at dappGambl.com that examined more than 70,000 NFT collections. The authors of the study concluded that 95% of them had essentially no value.⁶ However, *Rolling Stone's* piece and those of many other news outlets focused solely on

¹ See *infra* Section II (describing and examining non-fungible tokens in greater detail).

² See, e.g., Allyson Versprille, *NFT Market Surpassed \$40 Billion in 2021, New Estimate Shows*, BLOOMBERG (Jan. 6, 2022), <https://www.bloomberg.com/news/articles/2022-01-06/nft-market-surpassed-40-billion-in-2021-new-estimate-shows> [<https://perma.cc/S93J-ABEE>] (“Nearly \$41 billion worth of cryptocurrency was sent to . . . smart contracts associated with NFT marketplaces and collections from the beginning of 2021 through mid-December . . .”).

³ See, e.g., Robyn Conti, *What Is an NFT? Non-Fungible Tokens Explained*, FORBES, <https://www.forbes.com/advisor/investing/cryptocurrency/nft-non-fungible-token> [<https://perma.cc/6VJG-KNWM>] (May 10, 2024, 3:41 PM) (“An NFT is a digital asset that can come in the form of art, music, in-game items, videos, and more.”); see also *Friel v. Dapper Labs, Inc.*, 657 F. Supp. 3d 422, 429 (S.D.N.Y. 2023) (“NFTs are digital assets whose authenticity and ownership can be recorded on a blockchain.”); *infra* Section II (discussing the NFT minting process and the ability to link both digital and physical assets to an NFT).

⁴ See Vlad Hategan, *Dead NFTs: The Evolving Landscape of the NFT Market*, DAPPGAMBL, <https://dappgambl.com/nfts/dead-nfts> [<https://perma.cc/6J3X-JMSH>] (reporting that the weekly traded value of NFTs in July 2023 was a mere third of the peak value in August 2021).

⁵ Miles Klee, *Your NFTs Are Actually—Finally—Totally Worthless*, ROLLING STONE (Sept. 20, 2023), <https://www.rollingstone.com/culture/culture-news/nfts-worthless-researchers-find-1234828767> [<https://perma.cc/4EA6-DD4G>].

⁶ See *id.* (“The study estimates that some 23 million investors own these tokens of no practical use or value.” (emphasis added)).

a portion of the research.⁷ As even the study’s authors recognized, the initial methodology utilized arguably skewed the final results,⁸ and a more nuanced analysis revealed positive indicators.⁹

Additionally, data reveals many other reasons to be optimistic. For example, a recent article in *Forbes* observed that the NFT market cap in November 2023 was “a robust \$10 billion,” with the top ten NFT collections “having retained 73% of their value from one year ago.”¹⁰ Further signs of life include the creation of specialized digital art and NFT departments at major auction houses Christie’s¹¹ and Sotheby’s.¹² In June 2023, Sotheby’s auctioned off an NFT called *The Goose* for \$6.2 million dollars—more than double its estimated price.¹³ Likewise, museums are rapidly acquiring NFTs as part of their permanent collections,¹⁴ including New York’s Museum of Modern Art (MoMa)¹⁵ and the

⁷ See, e.g., Maya Yang, *The Vast Majority of NFTs Are Now Worthless, New Report Shows*, THE GUARDIAN (Sept. 22, 2023, 1:39 PM), <https://www.theguardian.com/technology/2023/sep/22/nfts-worthless-price> [<https://perma.cc/9755-S57R>] (further describing the findings of the dappGambler report).

⁸ See Hategan, *supra* note 4 (“Analyzing the market as a whole might be seen as somewhat unfair, after all, [because] the stock market is full of dud investments that might not perhaps tell the whole story. Just as the S&P 500 serves as a reliable indicator of the overall health of the US stock market, analyzing the top NFT collections provides a better snapshot of the NFT market’s condition.”).

⁹ See *id.* (“NFTs still have a place in our future. . . . [W]e still maintain that once the dust has settled, we will start to see an evolution within NFTs.”).

¹⁰ Mark Lurie, *NFTs Are Retaining Value, Researchers Say*, FORBES, <https://www.forbes.com/sites/digital-assets/2023/11/10/nfts-are-retaining-value-researchers-say/> [<https://perma.cc/VF95-S2PA>] (Nov. 13, 2023, 5:03 PM).

¹¹ *Digital Art & NFTs*, CHRISTIE’S, <https://www.christies.com/en/events/digital-art-and-nfts/overview> [<https://perma.cc/4HFV-AQ7Q>].

¹² *Digital Art*, SOTHEBY’S, <https://www.sothebys.com/en/departments/digital-art> [<https://perma.cc/9EK3-5MAZ>].

¹³ Eli Tan, *This Guy Paid \$6 Million for a Digital Goose Owned by a Failed Crypto Fund*, WASH. POST (June 22, 2023, 7:00 AM), <https://www.washingtonpost.com/business/2023/06/22/goose-nft-crypto-sothebys/>. The particular NFT is referred to as *The Goose* as it has a goose-like resemblance, despite the fact it was created completely by computer code. *Id.*

¹⁴ See Lurie, *supra* note 10 (“[M]any museums are acquiring NFTs into their permanent collections, including the Pompidou, LACMA, and MoMa.”).

¹⁵ See, e.g., Refik Anadol: *Unsupervised*, MUSEUM OF MOD. ART, <https://www.moma.org/calendar/exhibitions/5535> (last visited Nov. 24, 2024) (describing artist Refik Anadol’s work, entitled *Unsupervised*, which exhibited from November 19, 2022, to October 29, 2023).

Institute of Contemporary Art, Miami (ICA Miami), with the latter displaying its recently acquired CryptoPunk NFT *Virtual Lady* next to Andy Warhol's *American Lady* silkscreen painting.¹⁶ Even Disney has announced that they plan to begin selling NFTs linked to virtual trading pins on the same network utilized by both the NBA¹⁷ and the NFL¹⁸ to sell NFTs linked to short video clips of game highlights.¹⁹ All of these developments appear to be good news for the long term viability of NFTs.

Nonetheless, the continuing question remains, what exactly does a buyer get when they purchase an NFT? Unfortunately, the answer is often very little. This is not because of a sudden shift in the overall market value of NFTs during the past several years but instead a combination of issues, including incorrect assumptions of NFT purchasers, hidden terms and conditions of sale, and the intersection of contract law and copyright law.

Buyers of NFTs often assume that they have acquired not only a token but also a digital work of art with a host of other rights that will allow them to fully capitalize on and benefit from their purchase.²⁰ In reality, NFTs typically consist of a metadata file or a string of code that essentially serves as an electronic certificate of authenticity that contains an address to locate where a digital copy of the work resides.²¹ However, this does not mean purchasers now also own the art itself. More often than not, the creator of the art

¹⁶ See *CryptoPunk 305 & Warhol's American Lady*, INST. OF CONTEMP. ART, MIA., <https://icamiami.org/exhibition/cryptopunk-305/> [<https://perma.cc/UG9Z-AMKN>] (“[O]ur aim is to illuminate the various affinities—both aesthetic and conceptual—that exist between Warhol’s portrait painting practice and the CryptoPunks digital avatar collection.”).

¹⁷ NBA TOP SHOT, <https://nbatopshot.com/> [<https://perma.cc/L78J-M3DP>].

¹⁸ NFL ALL DAY, <https://nflallday.com/> (last visited Nov. 24, 2024).

¹⁹ See Andrew Hayward, *Disney NFT Platform Revealed by Dapper Labs, with Star Wars and Pixar Included*, DECRYPT (Nov. 14, 2023), <https://decrypt.co/205941/disney-reveals-nft-platform-dapper-labs-including-star-wars-pixar> [<https://perma.cc/S4CL-QGCK>] (explaining that Disney’s NFT collection will be called “Pinnacle,” and it will include Disney, *Star Wars*, and Pixar characters).

²⁰ See Andres Guadamuz, *What Do You Actually Own When You Buy an NFT?*, WORLD ECON. F. (Feb. 7, 2022), <https://www.weforum.org/stories/2022/02/non-fungible-tokens-nfts-and-copyright/> (discussing widespread confusion over the scope of rights an NFT buyer acquires in the underlying work of art).

²¹ See *id.* (clarifying the mistaken belief that NFT buyers acquire the underlying work of art associated with the NFT).

continues to retain all or most of the copyright rights that initially vested in the artist.²²

Inaccurate assumptions related to NFT ownership are not surprising due to the simple fact that NFTs do not fit comfortably within a single existing legal framework, whether it be property law, copyright law, or contract law. Additionally, there is considerable variation in the large number of NFT marketplaces and applications that have opened up, each with its own set of contractual terms and conditions.²³ Moreover, individual artists and sellers on these sites usually have their own agreements that they use for sales of NFTs with widely varying provisions.²⁴ Lastly, but especially problematic, is how difficult it is to locate these contractual provisions—that is, if they are even publicly posted at all.²⁵

Accordingly, in this article I advocate for increased transparency related to the terms of an NFT's sale to give potential purchasers an adequate opportunity to identify what rights they may or may not have in the underlying artwork. This is important not just to avoid disappointment but to ensure purchasers do not later expose themselves to potential legal liability. One's failure to comply with a restriction on use may not only be the basis for a breach of contract action but a copyright infringement claim as well.²⁶ This is consequential because an award for infringement could easily lead to a substantially higher monetary award, as copyright law allows for not only different but enhanced methods of calculating potential loss compared to the law of contracts²⁷: "copyright law offers generous remedies that include, on top of actual harm and disgorgement of the defendant's profits, statutory damages, which

²² See *infra* Section VI.

²³ See Steven Ehrlich, *What Rights Come with Your NFT*, Forbes (Mar. 13, 2023), <https://www.forbes.com/sites/digital-assets/article/what-rights-come-with-your-nft/> [<https://perma.cc/J6X4-VN3V>] (cautioning that variations in terms and conditions within NFT projects and marketplaces may affect the scope of purchasers' rights).

²⁴ See *infra* Section V.

²⁵ See *infra* Section V.

²⁶ Copyright Act of 1976, Pub. L. No. 94-553, 90 Stat. 2541 (codified as amended at 17 U.S.C. § 501).

²⁷ *Id.* § 504.

can be as high as \$150,000 per work infringed,”²⁸ costs, and even attorney’s fees.²⁹ As such, it is imperative that a prospective NFT buyer is able to discern whether reproducing, distributing, or otherwise commercially exploiting a work is allowed to fully evaluate exactly what they are getting in connection with an NFT purchase.

This Article begins by discussing the basic attributes of NFTs in Section II. Next, Section III examines provisions of the Copyright Act of 1976 (the Copyright Act) that are especially relevant to NFTs and discusses a very costly public mistake recently made by an NFT group that misunderstood copyright law. Section IV explores how contracts have evolved over time to take account of the realities of the digital world. Section V takes an in-depth look at the problematic way NFT contractual terms are presented to consumers. This is done by examining the actual listings of several NFTs currently being offered for sale and detailing the numerous steps required to find the terms and conditions that purportedly govern the transaction. These provisions are then analyzed and compared to illustrate the wide range of rights granted to utilize any digital art linked to the non-fungible token itself, which more often than not is minimal. Finally, Section VI provides recommendations for improving transparency in the NFT marketplace and concludes by considering what motivates individuals to purchase an NFT for hundreds of thousands of dollars when an exact duplicate is easily accessible for free.

II. NFT BASICS

The acronym NFT stands for non-fungible token. Breaking an NFT down into its various components, the first part involves the concept of fungibility: Something is fungible if it is easily interchangeable with another one of the same kind.³⁰ For example, you could exchange a single U.S. dollar with someone else, and you

²⁸ Guy A. Rub, *Copyright Survives: Rethinking the Copyright-Contract Conflict*, 103 VA. L. REV. 1141, 1216–17 (2017) (citing *Capitol Recs. v. Thomas-Rasset*, 692 F.3d 899, 901–02 (8th Cir. 2012)).

²⁹ 17 U.S.C. § 505.

³⁰ *E.g.*, José M. Garrido, *Digital Tokens: A Legal Perspective* 25 (Int’l Monetary Fund, Working Paper No. 151, 2023).

would both still have the exact same amount of money because each dollar is of equivalent value.³¹ Additionally, most cryptocurrencies, such as Bitcoin or Ethereum, are fungible as well.³² Conversely, an item is non-fungible if it has unique qualities that prevent it from being commutable with things of the same type.³³ Generally, objects in the physical world tend to be non-fungible.³⁴ As such, two hard copies of the novel *Legally Blonde* might have vastly different values³⁵—a first edition in pristine condition signed by author Amanda Brown would be worth much more than an unsigned second edition with handwritten notes in it and numerous ripped pages.

A token is simply a unit of value.³⁶ In the physical world, a token might represent a particular monetary amount, such as the assigned value in U.S. dollars of poker chips at a casino based upon their color.³⁷ A token can also provide access to services.³⁸ For example, from approximately the 1950s to 1990s, a transit token was necessary to ride the subway or a city bus in almost every major city. Additionally, a token can serve as a means by which another

³¹ Kevin Roose, *The Latecomer's Guide to Crypto: What are NFTs?*, N.Y. TIMES, <https://www.nytimes.com/interactive/2022/03/18/technology/nft-guide.html> [<https://perma.cc/MK2Q-5JPR>].

³² *Id.*

³³ *Id.*

³⁴ *Id.*

³⁵ The novel *Legally Blonde* was turned into a screenplay and eventually became the classic law school movie featuring Reese Witherspoon as first-year law student Elle Woods. This example will be used later to facilitate discussion of a variety of copyright-related issues, including the first sale doctrine. For those who are a bit (or even a lot) older, *Legally Blonde* can easily be changed to the novel *The Paper Chase* by John Jay Osborn, Jr. Similarly, the book was the basis for the movie of the same name starring John Houseman, who won the Academy Award for Best Supporting Actor in 1974 for his portrayal of the formidable contracts teacher Professor Kingsfield. See generally AMANDA BROWN, *LEGALLY BLONDE* (2002); JOHN JAY OSBORN, JR., *THE PAPER CHASE* (1971).

³⁶ Roose, *supra* note 31.

³⁷ Garrido, *supra* note 30, at 7. See generally Shermin Voshmgir, *TOKEN ECONOMY: HOW THE WEB3 REINVENTS THE INTERNET* (2d ed. 2020) (providing further background on blockchain and cryptocurrencies).

Some states even require by statute or regulation that certain colors be used for particular denominations. For example, in Illinois, colors of eleven different denominations are mandated, with white chips at \$1, red chips at \$5, and black chips at \$100. ILL. ADMIN. CODE tit. 86, § 3000.625 (2012).

³⁸ Garrido, *supra* note 30, at 7.

object is accessed³⁹: Upon checking a coat or a piece of luggage, it is not uncommon to receive some type of token that allows one to later retrieve the item.

An NFT not only represents a unit of value but also serves as a digital identifier, one that is comparable to a certificate of ownership in the bricks and mortar world.⁴⁰ NFTs are often created or “minted” by uploading a digital file onto one of the NFT marketplaces,⁴¹ such as OpenSea⁴² or Rarible.⁴³ Next, a unique string of computer code is generated and recorded on a digital ledger, also known as a “blockchain.”⁴⁴ Blockchains are essentially a decentralized recordkeeping system that can be either public or private.⁴⁵ As explained in *Friel v. Dapper Labs, Inc.*, there are many advantages to this type of configuration:

Unlike traditional ledgers, which are managed and validated by a centralized authority, blockchains are distributed and decentralized. This structure offers greater transparency as to ownership by being based on consensus as to the accuracy of the transactions consummated on the network. To reach consensus, embedded in each blockchain platform is a software protocol, or consensus mechanism, which provides governance standards over how information is added to the blockchain. Blockchain-based transactions are

³⁹ *Id.*

⁴⁰ U.S. GOV'T ACCOUNTABILITY OFF., GAO-22-105990, SCIENCE & TECH SPOTLIGHT: NON-FUNGIBLE TOKENS (NFTs) (2022) [hereinafter SCIENCE & TECH SPOTLIGHT]; see also Roose, *supra* note 31 (“If it helps, you can think of NFTs as like the certificate of authenticity you might get if you bought an expensive sculpture.”).

⁴¹ SCIENCE & TECH SPOTLIGHT, *supra* note 40; Bernard Marr, *How to Make an NFT? All You Need to Know*, FORBES, <https://www.forbes.com/sites/bernardmarr/2022/07/11/how-to-make-an-nft-all-you-need-to-know/> [https://perma.cc/KHE6-MEMU] (July 15, 2022, 5:46 PM).

⁴² OPENSEA, <https://opensea.io/> (last visited Nov. 24, 2024).

⁴³ RARIBLE, <https://rarible.com/> [https://perma.cc/RX7V-9AA4].

⁴⁴ *Friel v. Dapper Labs, Inc.*, 657 F. Supp. 3d 422, 426 (S.D.N.Y. 2023).

⁴⁵ *Id.*; see also Bobby Allyn, *What's an NFT? And Why Are People Paying Millions to Buy Them?*, NPR (Mar. 5, 2021, 7:00 PM), <https://www.npr.org/2021/03/05/974089381/whats-an-nft-and-why-are-people-paying-millions-to-buy-them> [https://perma.cc/277H-WBAJ] (“[I]nstead of one institution, like a bank, having a ledger of transactions, a blockchain uses a vast network of computers that all hold each other accountable on a shared public record.”).

considered more secure and trustworthy than ledgers controlled by centralized authorities, like a bank, because adding, changing, or removing information from the blockchain is made purposefully difficult, making it harder to falsify a transaction or hack into the ledger itself.⁴⁶

Adding to the legitimacy of the record is the fact that each time someone purchases, transfers, sells, or takes any other type of action related to the NFT, these events are recorded on the blockchain.⁴⁷ Furthermore, unlike paper certificates that could be easily lost or destroyed, the blockchain provides permanent proof of authenticity.⁴⁸

Some of the earliest NFTs were introduced in 2017 and consisted of highly pixelated digital images of individuals and kittens called CryptoPunks and CryptoKitties, respectively.⁴⁹ Today, NFTs are most commonly connected to files containing digital artwork, videos, or audio clips.⁵⁰ However, they can also be linked to a physical asset or even provide access to a physical location and/or event. For example, owners of the single malt Scotch brand Glenfiddich sold fifteen NFTs at \$18,000 apiece that each corresponded to an exceptionally rare bottle of 1973 whiskey produced and stored for forty-six years.⁵¹ According to William Grant & Sons distillers, the

⁴⁶ *Friel*, 657 F. Supp. 3d at 427.

⁴⁷ *How to Sell an NFT*, OPENSEA (Oct. 7, 2022), <https://opensea.io/learn/nft/how-to-sell-nfts>.

⁴⁸ *Id.*

⁴⁹ *E.g.*, Adam Conner-Simons, *NFTs, Explained*, MASS. INST. TECH. COMPUT. SCI. & A.I. LAB'Y (Mar. 22, 2021), <https://www.csail.mit.edu/news/nfts-explained> [<https://perma.cc/ZT87-22Q9>]; Andres Guadamuz, *Non-Fungible Tokens (NFTs) and Copyright*, WIPO MAG. (Dec. 2021), https://www.wipo.int/wipo_magazine/en/2021/04/article_0007.html [<https://perma.cc/3PUB-TRDB>]; *see also* *Cryptopunks*, LARVA LABS, <https://www.larvalabs.com/cryptopunks> [<https://perma.cc/CRU5-D6M5>] (“CryptoPunks are 24x24 pixel art images, generated algorithmically. Most are punky-looking guys and girls, but there are a few rarer types mixed in: Apes, Zombies and even the odd Alien.”); *CryptoKitties*, DAPPER LABS, <https://www.cryptokitties.co/> [<https://perma.cc/B5FF-TRE6>] (“Each cat is one-of-a-kind and 100% owned by you; it cannot be replicated, taken away, or destroyed.”).

⁵⁰ SCIENCE & TECH SPOTLIGHT, *supra* note 40; Conti, *supra* note 3.

⁵¹ Bernard Marr, *10 Amazing and Innovative Examples of NFTs Everyone Should Know About*, FORBES (Apr. 26, 2022, 2:47 AM), <https://www.forbes.com/sites/bernardmarr/2022/04/26/10-amazing-and-innovative->

owners of Glenfiddich, buyers of an NFT can choose to immediately obtain possession of the real-world physical bottle or alternatively continue to have it stored and, upon request, delivered to the buyer sometime in the future.⁵² In the meantime, the NFT serves “as a digital receipt that verifies the buyer’s ownership and the authenticity of the product” plus allows the buyer to resell or transfer the NFT to another person or entity at any time.⁵³

In 2022, NFTs were utilized for the first time by the organizers of Coachella, one of the largest and arguably most popular music festivals in the world, providing access to limited edition festival photos, posters, and soundscapes.⁵⁴ Coachella even offered ten lifetime passes for sale in the form of NFTs that would grant its holder not only festival entry each year but also “front-row access, dinners cooked by celebrity chefs, and opportunities to meet and greet artists and performers.”⁵⁵ Additionally, NFTs have recently been used by others in the music industry as a substitute for backstage passes, a key to unlock previously unreleased content, access to VIP lounges, or membership in fan clubs.⁵⁶

examples-of-nfts-everyone-should-know-about/ [https://perma.cc/MK2E-PSZW] [hereinafter Marr, *10 Amazing and Innovative Examples*]; Bernard Marr, *Glenfiddich Sells \$18,000 Super-Rare Whisky as NFTs—Here’s What That Means* (Nov. 9, 2021), <https://bernardmarr.com/glenfiddich-sells-18000-super-rare-whisky-as-nfts-heres-what-that-means/> [https://perma.cc/R6Q8-MD5J].

⁵² 1973 46 Year Old Armagnac Cask, GLENFIDDICH, <https://www.glenfiddich.com/us/explore/blockbar-nft/> [https://perma.cc/SS86-BETP].

⁵³ *Id.*

⁵⁴ Langston Thomas, *Coachella Partners with FTX on NFT Collection Featuring Lifetime Festival Passes*, NFT NOW (Feb. 1, 2022), <https://nftnow.com/news/coachella-ftx-lifetime-festival-pass-nft/>.

⁵⁵ Marr, *10 Amazing and Innovative Examples*, *supra* note 51; *see also* Benjamin James, *Coachella NFTs Trapped in FTX Crypto Fallout*, BILLBOARD (Nov. 15, 2022), <https://www.billboard.com/pro/coachella-nfts-stuck-ftx-exchange-bankruptcy/> [https://perma.cc/J3AS-TB26] (describing “Coachella Keys,” which granted “lifetime access to the festival and VIP perks”).

Unfortunately, many of the up to \$1.5 million in Coachella NFTs are currently inaccessible, and their future status is unknown. This is because Coachella had partnered with the FTX cryptocurrency exchange, which collapsed in November 2022 and is currently winding its way through bankruptcy court. *See* Joel Khalili, *FTX Says It Expects to Repay Customers in Full. Some Are Suing for More*, WIRED (Feb. 2, 2024, 2:46 PM), <https://www.wired.com/story/ftx-bankruptcy-bitcoin-value/> (discussing ongoing consumer litigation against FTX following its collapse in 2022).

⁵⁶ *See, e.g., supra* note 55 and accompanying text.

The above only scratches the surface of how NFTs are being used and could potentially be used in the future. For example, NFTs can also “track and monitor consent for clinical trials,” thereby allowing patients to follow “their consent agreements in real time across different data sources.”⁵⁷ Additionally, researchers are looking at other ways to utilize NFTs in the healthcare sector, including “storing electronic health records as NFTs [to] give patients more control over who has access to their data and when or how to share it.”⁵⁸ Thus, the NFT and blockchain technology has significant untapped potential.⁵⁹

III. COPYRIGHT LAW

Copyright law covers an incredibly diverse array of works, including music, art, computer software, film, and books. It is therefore not surprising that NFTs are often associated with works that have at least some measure of copyright protection. In order for the Copyright Act to apply to a particular work, it must first meet three major requirements.

First, it must be “original,” which has been interpreted over time by the U.S. Supreme Court to require that the work was independently created and has a “modicum of creativity.”⁶⁰ The former element simply requires the purported author actually be the one who created the work in question and also did not merely copy it from someone else.⁶¹ The U.S. Supreme Court has described the latter element as a “level of creativity [that] is extremely low; even a slight amount will suffice. The vast majority of works make the grade quite easily, as they possess some creative spark ‘no matter how crude, humble or obvious’ it might be.”⁶²

The second requirement for copyright protection is that the work in question must be a “work of authorship.”⁶³ The Copyright Act lists

⁵⁷ SCIENCE & TECH SPOTLIGHT, *supra* note 40.

⁵⁸ *Id.*

⁵⁹ See *id.* (“NFT applications may improve the efficiency of the digital economy. For example, they could facilitate the processing of records, help businesses attract startup funding, and help match fundraisers with donors.”).

⁶⁰ 17 U.S.C. § 102(a); *Feist Publ’ns, Inc. v. Rural Tel. Serv. Co.*, 499 U.S. 340, 345 (1991).

⁶¹ *Feist*, 499 U.S. at 345 (citations omitted).

⁶² *Id.*

⁶³ 17 U.S.C. § 102(a).

eight extremely broad categories of works that qualify, such as “literary works,” “musical works,” and “dramatic works.”⁶⁴ But the statutory provision does not expressly prohibit other types of works falling outside this list from protection, so theoretically it remains a possibility. That said, the Copyright Act does make clear that some things will never be eligible for copyright protection, namely “any idea, procedure, process, system, method of operation, concept, principle, or discovery.”⁶⁵

Lastly, the work must be “fixed in a tangible medium of expression.”⁶⁶ In other words, the work must be in some sort of stable format that can be viewed at another moment in time. For example, if you created an ice sculpture that you intended to display for ten hours on a sunny 100° day, you could fix the work for copyright purposes by taking a photograph of it before setting it out in the warm weather. The fixation requirement ensures there is evidentiary proof of the work. However, it also serves as the quid pro quo for the initial term of protection for the author in exchange for the work eventually becoming part of the public domain and thus available to all.⁶⁷ After all, without any record of the work, there would be nothing added to the public domain once the copyright term ends. It is also worth noting—especially relevant to issues surrounding NFTs—that the need to utilize a machine, such as a camera, amplifier, or a computer, to view, perceive, or interact with a copyrightable work is not at all problematic under the Copyright Act. In fact, the statute expressly states that copyright protections exist regardless of the manner in which a work is “perceived, reproduced, or otherwise communicated, either directly or with the aid of a machine or device” either “now known or later developed.”⁶⁸

⁶⁴ *Id.*

⁶⁵ *Id.* § 102(b).

⁶⁶ *Id.* § 102(a).

⁶⁷ See *Sony Corp. of Am. v. Universal City Studios, Inc.*, 464 U.S. 417, 429 (1984) (“The monopoly privileges that Congress may authorize are neither unlimited nor primarily designed to provide a special benefit. . . . [The privileges are] intended to motivate the creative activity of authors and inventors by the provision of a special reward, and to allow the public access to the products of their genius after the limited period of exclusive control has expired.”).

⁶⁸ 17 U.S.C. § 102(a).

A. BUNDLE OF RIGHTS

The owner of a copyrighted work receives a plethora of rights under the Copyright Act.⁶⁹ Of particular importance to NFTs, this includes the right to make reproductions, distribute copies, and publicly display the work.⁷⁰ Furthermore, if the copyright owner so chooses, they can either assign or license all, some, one, or none of these rights to others.⁷¹ This is important, as failure to obtain such permission before the use of a copyrighted work can be the basis for a successful copyright infringement suit.⁷²

Returning to our *Legally Blonde* example, in order to sell Amanda Brown's book, the publisher would need to obtain both the right to make copies and the right to distribute those copies for eventual sale. This could be accomplished by the grant of a license or assignment from Amanda Brown to the book publisher. On the other hand, while producers and creators of the *Legally Blonde* screenplay, motion picture, and musical would also need to obtain the same reproduction and distribution rights from Brown before embarking on their *Legally Blonde*-related projects, they would require multiple other rights as well.

⁶⁹ These rights are listed in § 106 of the U.S. Copyright Act:

Subject to sections 107 through 121, the owner of a copyright under this title has the exclusive rights to do and to authorize any of the following:

- (1) to reproduce the copyrighted work in copies or phonorecords;
- (2) to prepare derivative works based upon the copyrighted work;
- (3) to distribute copies or phonorecords of the copyrighted work to the public by sale or other transfer of ownership, or by rental, lease, or lending;
- (4) in the case of literary, musical, dramatic, and choreographic works, pantomimes, and motions pictures and other audiovisual works, to perform the copyrighted work publicly;
- (5) in the case of literary, musical, dramatic, and choreographic works, pantomimes, and pictorial, graphic, or sculptural works, including the individual images of a motion picture or other audiovisual work, to display the copyrighted work publicly;
- (6) in the case of sound recordings, to perform the copyrighted work publicly by means of digital audio transmission.

Id. § 106.

⁷⁰ *Id.*

⁷¹ *Id.*

⁷² *Id.* § 501.

As the screenplay, motion picture, and musical are new works based upon the *Legally Blonde* novel, they would be considered “derivative works” which would require a separate license or assignment. A derivative work is defined by the Copyright Act as “a work based upon one or more preexisting works.”⁷³ Since Brown’s novel clearly served as the starting point for these later works, all of them would constitute derivative works under copyright law requiring additional permission. Moreover, in order to perform or display the works publicly, individual licenses or assignments would need to be procured for each of these exclusive rights of the copyright owner. Again, failure to acquire the necessary consent from the copyright owner to engage in these activities could constitute copyright infringement, that is unless, of course, a particular exclusion or limitation codified in the Copyright Act is applicable, the most pertinent of which are discussed in more detail below.

B. EXCLUSIONS AND LIMITATIONS

While the Copyright Act provides copyright owners with a significant level of protection during the copyright’s term, it also contains numerous limitations to balance the rights of the author and the interests of the public.⁷⁴ Most of these provisions are very specific as to who or what qualifies for the exception, under exactly what circumstances, and the particular right or rights involved. For example, § 110(6) states “a [public] performance of a nondramatic musical work by a governmental body or a nonprofit agricultural or horticultural organization, in the course of an annual agricultural or horticultural fair or exhibition conducted by such body or organization” shall not be considered an infringement of copyright.⁷⁵ As such, this limitation only impacts the copyright owner’s right of public performance with regard to musical works that are

⁷³ The definition also provides a number of examples: “[A] translation, musical arrangement, dramatization, fictionalization, motion picture version, sound recording, art reproduction, abridgement, condensation, or any other form in which a work may be recast, transformed, or adapted.” *Id.* § 101.

⁷⁴ Many of the provisions can be found in §§ 107 through 122 of the Copyright Act. *See, e.g., id.* § 107 (“[T]he fair use of a copyrighted work . . . is not an infringement of copyright.”).

⁷⁵ *Id.* § 110(6).

nondramatic, only as part of an annual fair covering a very limited subject area, and held by specific types of entities. However, as discussed in more detail below, there are several statutory provisions that have much broader application and potential implications for NFTs.

1. Limitation on Distribution Right: First Sale Doctrine. Section 106(3) of the Copyright Act provides the copyright owner with the ability to control the public distribution of their work.⁷⁶ As such, only they, or whoever they authorize to do so, can decide how, when, and where to publicly distribute the work and whether to do so by selling it, licensing it, renting it, or by some other mechanism.⁷⁷ However, the copyright owner's right is not absolute but is instead limited by § 109(a) of the Copyright Act.⁷⁸ This provision codifies what is generally referred to as the first sale doctrine.⁷⁹ It provides that “[n]otwithstanding the provisions of § 106(3), the owner of a particular copy or phonorecord lawfully made under this title, or any person authorized by such owner, is entitled, without the authority of the copyright owner, to sell or otherwise dispose of the possession of that copy or phonorecord.”⁸⁰ Especially important to note is the fact that this provision does not apply to all of the copyright rights but only one: the right of distribution.

Therefore, if one were to purchase a hardcopy of Amanda Brown's novel *Legally Blonde* at a bookstore, § 109(a) would allow them to resell it to a used bookstore, give it to a friend, donate it to Goodwill, or even destroy it.⁸¹ Normally, the copyright owner's right to distribute copies of the literary work under § 106(3) would not allow such actions, at least not without the purchaser of the single

⁷⁶ *Id.* § 106(3).

⁷⁷ *See id.* (“[T]he owner . . . has the exclusive rights to do and to authorize . . . [distribution of] copies or phonorecords of the copyrighted work to the public by sale or other transfer of ownership, or by rental, lease, or lending.”).

⁷⁸ *See id.* § 109(a) (“Notwithstanding the provisions of section 106(3), the owner of a particular copy or phonorecord lawfully made under this title . . . is entitled, without the authority of the copyright owner, to sell or otherwise dispose of the possession of that copy or phonorecord.”).

⁷⁹ *See, e.g.,* *Quality King Distribs., Inc. v. Lanza Rsch. Int'l, Inc.*, 523 U.S. 135, 141–42 (1998) (citation omitted) (noting that the “exclusive right to ‘vend’ was limited to first sales of the work”).

⁸⁰ 17 U.S.C. § 109(a).

⁸¹ *Id.*

hardcopy of *Legally Blonde* either seeking permission from the copyright owner or, alternatively, risking copyright infringement liability.⁸² However, as a result of § 109(a), the owner of this particular legally acquired hardcopy of *Legally Blonde* can further distribute it in a multitude of ways.

On the other hand, if one instead purchased and downloaded an electronic copy of the novel *Legally Blonde* for an e-reader, tablet, or computer, the analysis would be quite different. This is because, as part of the purchase, the seller will invariably require one to enter into a standardized form contract that almost always includes a license for the use of the work as opposed to a sale.⁸³ And this distinction is pivotal, since § 109(a)'s first sale doctrine is modified by § 109(d), which states “[t]he privileges prescribed by [subsection] (a) do not, unless authorized by the copyright owner, extend to any person who has acquired possession of the copy or phonorecord from the copyright owner, by rental, lease, loan, or otherwise, without acquiring ownership of it.”⁸⁴

As a licensee does not acquire any sort of ownership interest in the copyrighted work by entering into a licensing agreement, the first sale doctrine is inapplicable to such a transaction.⁸⁵ Consequently, while the purchaser of the hardcopy version of the novel *Legally Blonde* obtains the benefits of the first sale doctrine, the purchaser of the electronic copy rarely, if ever, does. This distinction between sales versus licenses is especially important in connection with the discussion in Section VI concerning NFT

⁸² *Id.* § 106(3); *see also id.* § 501(a) (“Anyone who violates any of the exclusive rights of the copyright owner as provided by sections 106 through 122 or of the author as provided in section 106A(a), or who imports copies or phonorecords into the United States in violation of section 602, is an infringer of the copyright or right of the author . . .”).

⁸³ *See, e.g.*, materials cited *supra* notes 84 and 85.

⁸⁴ 17 U.S.C. § 109(d).

⁸⁵ *See, e.g.*, *Vernor v. Autodesk, Inc.*, 621 F.3d 1102, 1107–08 (9th Cir. 2010) (“The first sale doctrine does not apply to a person who possesses a copy of the copyrighted work without owning it, such as a licensee.” (citing *Quality King Distribs., Inc. v. L’anza Rsch. Int’l, Inc.*, 523 U.S. 135, 146–47 (1998))). *But see* 2 NIMMER ON COPYRIGHT § 8.20 n.35.14 (2024) (“The statute actually refers to ‘rental, lease, loan,’ notably omitting a license. . . . [I]t is respectfully submitted that the cases vindicating that ‘license paradigm’ are wrongly decided.” (citation omitted)).

contracts and the rights, or arguable lack thereof, obtained by purchasers.⁸⁶

Aside from the requirement of a sale, another important limitation of the first sale doctrine is that it applies only to the right of distribution. None of the other exclusive rights granted to the copyright owner are limited by § 109(a).⁸⁷ As such, merely because one has legally purchased a hardcopy of *Legally Blonde* from Amazon does not mean one is free to start making thousands of copies and begin selling them at law school forums and fairs. This is because the first sale doctrine only allows for a purchaser's further distribution of a lawfully made copy and does not provide any additional authorization with regard to the right to reproduce the work, the right to distribute nonlegal copies, or any of the other rights of a copyright owner delineated under § 106.⁸⁸

2. *Limitation on the Right to Public Display.* Under § 106(5), copyright owners are given the exclusive right to publicly display their work to the exclusion of all others, unless of course the copyright owner has granted the party permission to do so.⁸⁹ More specifically, the statute provides protection for the public display of “literary, musical, dramatic, and choreographic works, pantomimes, and pictorial, graphic, or sculptural works, including the individual images of a motion picture or other audiovisual work.”⁹⁰ However, as with most other exclusive rights, the Copyright Act carves out a limitation on the copyright owner's right to public display under § 109(c). The statutory provision states as follows:

[T]he owner of a particular copy lawfully made under this title, or any person authorized by such owner, is

⁸⁶ See *infra* Section VI.

⁸⁷ In addition to the fundamental rights listed in § 106, the Copyright Act also contains further protections available for more specific circumstances. For example, § 602(a)(1) addresses the right of importation and provides as follows: “Importation into the United States, without the authority of the owner of copyright under this title, of copies or phonorecords of a work that have been acquired outside the United States is an infringement of the exclusive right to distribute copies or phonorecords under section 106, actionable under section 501.” 17 U.S.C. § 602(a)(1).

⁸⁸ See *supra* note 78 and accompanying text.

⁸⁹ See 17 U.S.C. § 106(5) (“[T]he owner of copyright under this title has the exclusive rights . . . to display the copyrighted work publicly.”).

⁹⁰ *Id.*

entitled, without the authority of the copyright owner, to display that copy publicly, either directly or by the projection of no more than one image at a time, to viewers present at the place where the copy is located.⁹¹

It should be noted that this exception is only applicable when the buyer of the copy has obtained ownership rights in connection with the transaction.⁹² As with the first sale doctrine discussed above,⁹³ if the acquisition of the copy was by rental, lease, loan, license, or any other form that resulted in something less than an ownership interest being passed, it will be deemed insufficient for purposes of § 109(d).⁹⁴ That said, those without permission can still engage in nonpublic displays of a copyrighted work as these are not part of the bundle of rights initially granted to the copyright owner. However, it is not uncommon for the definition of public display under the Copyright Act to be out of line with the way in which one would customarily define displaying something “publicly.”⁹⁵

“Public” Space. The Copyright Act contains two different ways in which a copyrighted work can be displayed publicly.⁹⁶ The first clause of the public display definition is spatial in nature while the second clause is focused on issues associated with transmission of the work. The language of the first provision is as follows:

To perform or display a work “publicly” means—

(1) to perform or display it at a place open to the public or at any place where a substantial number of persons outside of a normal circle of a family and its social acquaintances is gathered⁹⁷

⁹¹ *Id.* § 109(c).

⁹² *See id.* § 109(d) (“The privileges prescribed . . . do not, unless authorized by the copyright owner, extend to any person . . . without acquiring ownership of [the copyright].”).

⁹³ *See supra* Section II.B.1.

⁹⁴ *See* materials cited *supra* notes 84–85.

⁹⁵ *See, e.g., Publicly*, MERRIAM-WEBSTER, <https://www.merriam-webster.com/dictionary/publicly> [<https://perma.cc/EEN9-2A8A>] (defining “publicly” as “in a manner observable by or in a place *accessible to the public*” (emphasis added)).

⁹⁶ 17 U.S.C. § 101.

⁹⁷ *Id.*

The statutory language in this first clause refers not to a *public place* per se but to “any place,” with the focus instead on the individuals within said space.⁹⁸

For example, let’s assume an art aficionado named Ally acquired an original oil painting from a local artist. If she hung the painting up in her living room and invited her family and closest friends to view it, this would constitute a nonpublic display. This is because Ally’s private home is clearly not “a place open to the public” as defined in § 101.⁹⁹ Furthermore, since only those in her inner circle are gathering, the alternative definition is not met either. However, if the painting were on display when Ally held a birthday party at her home for the twenty-five children in her son’s kindergarten class, the outcome might be different.¹⁰⁰ As “publicly” can be anywhere a “substantial number of persons outside a normal circle of one’s social acquaintances is gathered,” this large group of

⁹⁸ *Id.*

⁹⁹ *Id.*

¹⁰⁰ This hypothetical is based on a problem that appeared in JULIE E. COHEN, LYDIA PALLAS LOREN, RUTH L. OKEDIJI & MAUREEN A. O’ROURKE, COPYRIGHT IN A GLOBAL INFORMATION ECONOMY (5th ed. 2020). The original question involved playing a movie and therefore implicated the performance right in § 106(4) as opposed to the display right in § 106(5). As such, § 109(c) would not be applicable.

The problem reads as follows: “Molly purchases a copy of *Incredibles 2* for her daughter’s eighth birthday. She shows the movie at her daughter’s birthday party, to which she has invited all 27 students in the third-grade class.” COHEN ET AL., *supra*, at 407. Clearly, showing the movie might constitute *publicly*, as it is the focus of the children’s attention during at least a significant portion of the birthday party. By comparison, Ally’s oil painting is merely in the background at the birthday party. Accordingly, in the very unlikely chance an infringement suit was brought against Ally and the court ruled this was indeed a public display of the painting, it is quite probable Ally’s infringement would be deemed *de minimis* and, as such, of no legal significance. See, e.g., *Gottlieb Dev. LLC v. Paramount Pictures Corp.*, 590 F. Supp. 2d 625, 632 (S.D.N.Y. 2008) (finding *de minimis* use of copyrightable designs on a pinball machine when it appeared for only a few seconds at a time during a three-and-a-half minute scene, was partially obscured or out of focus, and was not part of the plot); cf. *Ringgold v. Black Ent. Television, Inc.*, 126 F.3d 70, 75 (2d Cir. 1997) (“In cases involving visual works, . . . the quantitative component of substantial similarity also concerns the observability of the copied work—the length of time the copied work is observable in the allegedly infringing work and such factors as focus, lighting, camera angles, and prominence.”). In *Ringgold*, the court found that, from a quantitative standpoint, the poster was seen for 1.86 to 4.16 seconds at a time and sometimes appeared in the center of the screen, while, qualitatively, the poster was relevant to the storyline of the episode and observable with sufficient detail. As such, the use of the copyrighted poster—nine times during a five-minute scene at the end of the episode—was more than *de minimis* copying.

children and parents might meet the definition. This is because the individuals present may very well go beyond what would be thought of as Ally's normal circle of friends.¹⁰¹ If so, the display of the painting during her child's birthday party could technically be deemed *public*, despite the fact that the event occurred in Ally's home. The statutory language does not refer solely to a "public place" but also can be virtually "any place" depending on the individuals within said space.¹⁰²

If the painting in Ally's living room was actually sold to her by the artist, Ally would not be in violation of the copyright owner's right of public display under the first definition. Instead, the transaction would fall squarely within the statutory exception contained in § 109(c), as modified by § 109(d). However, if Ally only received a license to the painting when she acquired it, as opposed to an ownership interest, then Ally would not receive the benefits of § 109(c). Consequently, any public displays Ally might engage in related to the painting might technically be violating the artist's rights absent some sort of additional license or other agreement with the artist.

"Public" Transmission. The second portion of the public display definition concerns the transmission or communication of a copyrighted work—often simply referred to as the Transmit Clause.¹⁰³ Congress originally enacted it in connection with the 1976 Copyright Act to ensure cable system activities were covered by this definition "when it retransmit[ted] network broadcast[s] to its subscribers."¹⁰⁴ Not surprisingly, the broad statutory language has been applied to the Internet, with courts quite easily finding that "an internet communication necessarily implicates the Transmit Clause."¹⁰⁵ The provision states as follows:

To perform or display a work "publicly" means—

¹⁰¹ See, e.g., *Fermata Int'l Melodies, Inc. v. Champions Golf Club, Inc.*, 712 F. Supp. 1257, 1260 (S.D. Tex. 1989) ("The Court considers twenty-one members plus guests to be a 'substantial number of persons outside of a normal circle of a family.'").

¹⁰² See *supra* note 97 and accompanying text.

¹⁰³ E.g., *Hunley v. Instagram, LLC*, 73 F.4th 1060, 1068 (9th Cir. 2023).

¹⁰⁴ *Am. Broad. Cos. v. Aereo, Inc.*, 573 U.S. 431, 441–42 (2014) (quoting H.R. REP. NO. 94-1476, at 63 (1976)).

¹⁰⁵ *Hunley*, 73 F.4th at 1068 (citing *Perfect 10, Inc. v. Amazon.com, Inc.*, 508 F.3d 1146, 1161 n.7 (9th Cir. 2007)).

. . . .

(2) to transmit or otherwise communicate a performance or display of the work to a place specified by clause (1) or to the public, by means of any device or process, whether the members of the public capable of receiving the performance or display receive it in the same place or in separate places and at the same time or at different times.¹⁰⁶

In order to constitute a public display under the first part of this section, the copyrighted work would need to be transmitted to a place that would qualify as *public* under its spatial definition: “a place open to the public or at any place where a substantial number of persons outside of a normal circle of a family and its social acquaintances is gathered.”¹⁰⁷

For example, say Ally enters her newly purchased oil painting in a contest designed to showcase the talents of New England artists in a wide variety of mediums. The contest is sponsored by the Northern New England Association of Art Critics and will be included as one of the three-hour sessions during their annual conference at the organization’s headquarters in Boston, Massachusetts. To participate, she needs to be available to live stream the painting hanging in her dining room at some point during the three-hour period using her personal computer and web camera. This is because about 150 art critics will gather in a large conference room to view the entries, which will be streamed one at a time on a single screen for approximately two to ten minutes.

Under this scenario, Ally’s transmission of the oil painting likely constitutes a “public display.” While it is doubtful the conference room at the private organization’s headquarters would qualify as a public space under the Copyright Act, 150 art critics in a single room probably goes well beyond a normal circle of social acquaintances. As such, when the oil painting in Ally’s living room was displayed via a live Internet stream to the art critics, it was a public display

¹⁰⁶ 17 U.S.C. § 101.

¹⁰⁷ *Id.*

despite the fact the actual painting was not physically present in the conference room. Also worth noting, this lack of the painting's *physical* presence at the conference also impacts Ally's ability to benefit from the § 109(c) exclusion on the copyright owner's display rights. As more fully discussed above, § 109(c) allows the owner of a particular copy to display it "either directly or by the projection of no more than one image at a time, to viewers present at the place where the copy is located."¹⁰⁸ As the painting was still in Ally's living room, she is likely in violation of the artist's display rights, unless of course she obtained permission to publicly transmit the painting via the Internet to the art critics.¹⁰⁹

Further, even if the individual art critics were each in separate spaces, Ally could still be potentially liable. For example, instead of gathering at the organization, say we changed the facts so that the competition required each entrant to make artwork available via a live web stream for a specified twenty-four-hour period on a special New England Association of Art Critics webpage accessible only by the 150 judges. Each contestant has a space on the page where the individual live streams are displayed, although none of the contestants can see each other's independent transmissions. The critics use their own computers to log into the competition's webpage from the comfort of their own homes at times most convenient to them. While neither the individual homes nor the laptops of the art critics would be considered open to the general public, the work is still being transmitted *publicly* as defined by the Copyright Act.¹¹⁰ Further, pursuant to the definition, it is immaterial whether they are "capable of receiving the performance or display . . . in the same place or in separate places" or "at the same time or different times."¹¹¹ Therefore, even though Ally's transmission was never viewed in the same place and might never have been viewed by any of the critics at the same time, it still is considered a public transmission.

¹⁰⁸ *Id.* § 109(c).

¹⁰⁹ This would be true regardless of whether Ally acquired the painting by sale, lease, lending, licensing, rental, or any other means. As § 109(c) is not applicable, § 109(d)'s requirement that, for the protections of § 109(a) or (c) to apply there must be a transfer of ownership rights in the copy acquired, are irrelevant.

¹¹⁰ 17 U.S.C. § 101.

¹¹¹ *Id.*

Lastly, it is worth noting that, as with the first sale doctrine, § 109(c) applies to only one of the exclusive rights granted to the copyright owner under the Copyright Act, namely the right of public display found in § 106(5).¹¹² Therefore, if one purchased an original oil painting and acquired ownership interests from the artist, § 109(c) would allow the owner to display the physical copy of the painting to the public without first seeking permission.¹¹³ However, none of the other exclusive rights of the copyright owner are impacted by this statutory provision. Consequently, if the owner of the painting wanted to start reproducing the work or creating derivative works based on the painting, § 109(c) would be of no assistance as it is unrelated to these exclusive rights.

3. *Fair Use*. The Copyright Act of 1976 was the first to codify the common law doctrine of fair use.¹¹⁴ It has a long and storied history, and according to the U.S. Supreme Court, “has been thought necessary to fulfill copyright’s very purpose, ‘[t]o promote the Progress of Science and useful Arts’” under the Constitution.¹¹⁵ Section 107 provides the most comprehensive and flexible limitation on the rights of a copyright owner under the Copyright Act. Unlike the other exceptions found in §§ 108 through 122, the fair use doctrine is applicable to all of the exclusive rights initially provided to the copyright owner pursuant to § 106. The provision states as follows:

Notwithstanding the provisions of section[] 106 . . . the fair use of a copyrighted work, including such use by reproduction in copies . . . is not an infringement of copyright. In determining whether the use made of a work in any particular case is a fair use the factors to be considered shall include—

¹¹² See *id.* § 109(c) (entitling owners of a particular copy to display it publicly “[n]otwithstanding the provisions of section 106(5)”).

¹¹³ *Id.* § 109(c).

¹¹⁴ See H.R. REP. NO. 94-1476, at 66 (1976) (“The bill endorses the purpose and general scope of the judicial doctrine of fair use . . .”); see also S. REP. NO. 94-473, at 62 (1975) (“[T]his section will represent the first statutory recognition of the [fair use] doctrine in our copyright law . . .”).

¹¹⁵ *Campbell v. Acuff-Rose Music, Inc.*, 510 U.S. 569, 575 (1994) (alteration in original) (quoting U.S. CONST. art. I, § 8, cl. 8).

- (1) the purpose and character of the use, including whether such use is of a commercial nature or is for nonprofit educational purposes;
- (2) the nature of the copyrighted work;
- (3) the amount and substantiality of the portion used in relation to the copyrighted work as a whole; and
- (4) the effect of the use upon the potential market for or value of the copyrighted work.¹¹⁶

In analyzing fair use, the U.S. Supreme Court has made clear that all four factors must be considered¹¹⁷ and failure to do so constitutes reversible error.¹¹⁸ Additionally, the inquiry must be conducted on a case-by-case basis¹¹⁹ and is highly fact-dependent, making precedent of questionable value.¹²⁰ Unfortunately, the beneficial malleability of fair use is arguably also its biggest disadvantage. This is rather succinctly stated by the Copyright Office itself: “[T]here is no formula to ensure that a predetermined percentage or

¹¹⁶ 17 U.S.C. § 107.

¹¹⁷ See *Campbell*, 510 U.S. at 578 (“Nor may the four statutory factors be treated in isolation, one from another. All are to be explored, and the results weighed together . . .”).

¹¹⁸ See, e.g., *id.* at 583–84 (holding that the lower court erred by giving “dispositive weight to the commercial nature of the parody” while ignoring the other fair use factors).

¹¹⁹ See *id.* at 577 (“The task [of fair use adjudication] is not to be simplified with bright-line rules, for the statute, like the 1965 doctrine it recognizes, calls for case-by-case analysis.”); see also *Harper & Row, Publishers, Inc. v. Nation Enters.*, 471 U.S. 539, 560 (1985) (explaining that there is no generally applicable definition that applies to fair use and each case must be evaluated against the four factors); *Sony Corp. of Am. v. Universal City Studios, Inc.*, 464 U.S. 417, 448 n. 31 (1984) (noting that cases concerning the fair use doctrine should be decided on their individual facts).

¹²⁰ Further complicating matters is the recent case of *Andy Warhol Foundation for Visual Arts, Inc. v. Goldsmith*, 143 S. Ct. 1258 (2023), which has created some uncertainty in the already inexact world of fair use. See, e.g., Niki Kuckes, *From Andy Warhol to Barbie: Copyright’s Fair Use Doctrine after Andy Warhol Foundation v. Goldsmith*, 29 ROGER WILLIAMS U. L. REV. 177, 178 (2024) (“[The Court] shifts the fair use inquiry from the act of creation that the defendant believes was ‘fair’ to the particular use the plaintiff believes was infringing. This could create a significant and potentially unsettling shift in copyright law.”); Keith N. Hylton, *Utility, Copyright, and Fair Use After Warhol*, 32 TEX. INTELL. PROP. L.J. 135, 177 (2024) (“This shift toward a focus on commercialism is inconsistent with some of the Court’s earlier decisions.”).

amount of a work—or specific number of words, lines, pages, copies—may be used without permission.”¹²¹ Consequently, it is quite difficult to use past decisions to predict the outcomes in future disputes.

4. *Material Objects, Copyright Ownership, and “Original Copies.”* One of the most important copyright concepts for purposes of NFT ownership is found in § 202 of the Copyright Act, which differentiates between an owner of the exclusive rights under copyright law and the owner of a material object within which the copyrighted work is included. It states as follows:

Ownership of a copyright, or of any of the exclusive rights under a copyright, is distinct from ownership of any material object in which the work is embodied. Transfer of ownership of any material object, including the copy or phonorecord in which the work is first fixed, does not of itself convey any rights in the copyrighted work embodied in the object; nor, in the absence of an agreement, does transfer of ownership of a copyright or of any exclusive rights under a copyright convey property rights in any material object.¹²²

In other words, simply purchasing a tangible item that includes copyrightable material does not automatically provide the buyer with all the exclusive rights originally granted to the author of the work upon creation.¹²³ As such, suppose the local artist who created the original oil painting used in the examples above decided to retain the actual, original oil painting and instead produced a limited number of copies on high-quality paper that were then individually numbered and signed by the artist.¹²⁴ While a

¹²¹ U.S. Copyright Office Fair Use Index, U.S. COPYRIGHT OFF., <https://www.copyright.gov/fair-use/> [<https://perma.cc/E5WQ-5HZ8>].

¹²² 17 U.S.C. § 202.

¹²³ See *id.* § 201(a) (“Copyright in a work protected under this title vests initially in the author or authors of the work. The authors of a joint work are coowners [sic] of copyright in the work.”).

¹²⁴ For a description of a more recent type of printing process that is used in connection with higher quality reproductions of oil paintings on paper, called the giclee process, see Paige Simianer, *Everything You Need to Know About Giclee Prints*, ARTWORK ARCHIVE: THE ART

purchaser of one of these reprints may be the owner of the particular copy they acquired from the author,¹²⁵ this would in no way provide the purchaser with any additional copyright rights in the artwork aside from those associated with any general exceptions that might be applicable, such as those reviewed above or others contained within §§ 107 through 122 of the Copyright Act.¹²⁶

The same analysis would apply even if the artist decided not to produce the reprints but instead only to sell the single oil painting they initially created. Moreover, even the original would be treated as a “copy” pursuant to the definition under the Copyright Act:

“Copies” are material objects . . . in which a work is fixed by any method now known or later developed, and from which the work can be perceived, reproduced, or otherwise communicated, either directly or with the aid of a machine or device. The term “copies” includes the material object, other than a phonorecord, in which the work is first fixed.¹²⁷

Read in combination with § 202, this definition further reinforces that the sale of the oil painting is only the sale of the physical object and nothing more—absent a separate agreement to the contrary with the artist. For example, in connection with the sale of Ally’s dining room painting discussed above, she did not instantly receive all of the exclusive rights held by the artist as part of the deal in addition to the artwork. Unless Ally and the artist negotiated an additional agreement, the sale would have provided Ally with only

BLOG, <https://www.artworkarchive.com/blog/everything-you-need-to-know-about-giclee-prints> [<https://perma.cc/DNS8-JQK7>] (Sept. 1, 2022).

¹²⁵ The change in form from the oil painting to the paper print might be considered a derivative work under § 106(2), or, more likely, simply a reproduction under § 106(1). *See* H.R. REP. NO. 94-1476, at 62 (1976) (“The exclusive right to prepare derivative works, specified separately in clause (2) of section 106, overlaps the exclusive right of reproduction [in § 106(1)] to some extent. . . . Thus, to constitute a violation of section 106(2), the infringing work must incorporate a portion of the copyrighted work in some form.”); *see also* *Pearson Educ., Inc. v. Ishayev*, 963 F. Supp. 2d 239, 249 (S.D.N.Y. 2013); *Montgomery v. Noga*, 168 F.3d 1282, 1292 (11th Cir. 1999). Regardless of which exclusive right is implicated, this activity is well within the artist’s rights initially granted by the Copyright Act.

¹²⁶ *See supra* Section III.B.

¹²⁷ 17 U.S.C. § 101.

the painting itself, while the artist would retain their § 106 copyright rights, subject only to any limitations normally provided under the Copyright Act.¹²⁸

C. A BAD EXAMPLE

Misunderstandings about the relationship between copyright law, contracts, and NFTs can lead to costly mistakes. In November 2021, Christie's auctioned a rare book for a proposed film adaptation of Frank Herbert's original literary work *Dune*.¹²⁹ It was estimated to be one of approximately ten to twenty copies created by filmmaker Alexander Jodorowsky and three additional artists that contained highly detailed concept art, including "set designs, character designs, and a storyboard of the entire film sketched."¹³⁰ Jodorowsky acquired the movie rights in 1974, and these books were shown to studio executives in an attempt to obtain funding for the project, which was ultimately unsuccessful.¹³¹

¹²⁸ This would of course include the first sale doctrine, the limitations on the display right, and fair use, along with the other exceptions contained within §§ 107 through 122.

¹²⁹ See Jessica Rizzo, *The Dune NFT Fiasco Is the Least of Crypto's Legal Worries*, WIRED (Jan. 19, 2022, 7:00 AM), <https://www.wired.com/story/nft-cryptocurrency-art-regulation-law/> (reporting on Christie's sale of Alejandro Jodorowsky's production book for *Dune*); see also David Barnett, *Jodorowsky Animated Dune in Development, Says Crypto Group*, THE GUARDIAN (Jan. 24, 2022, 7:43 AM), <https://www.theguardian.com/film/2022/jan/24/dune-animation-based-on-jodorowsky-concept-art-in-development-says-cryptocurrency-group-spice-dao-frank-herbert> [<https://perma.cc/S7QW-UKFA>] (detailing the failure of Spice DAO to understand the rights accompanying the NFT purchase); Adrienne Westenfeld, *The Saga of the Dune Crypto Bros and Their Very Pricey Mistake Is at Its End*, ESQUIRE (July 28, 2022, 9:24 AM), <https://www.esquire.com/entertainment/books/a38815538/dune-crypto-nft-sale-mistake-explained/> [<https://perma.cc/FS9B-N29X>] (stating that Spice DAO made "a three million dollar mistake by failing to read the fine print"); Gabriella Angeletti, *Crypto Group Shamed for Spending \$3m on 'Dune' Book, Mistakenly Believing It Had Acquired Copyright to Produce NFTs*, THE ART NEWSPAPER (Jan. 17, 2022), <https://www.theartnewspaper.com/2022/01/17/nft-group-shamed-jodorowsky-dune-book-copyright> [<https://perma.cc/XPN5-92SL>] (noting the same).

¹³⁰ Westenfeld, *supra* note 129. The three artists were French cartoonist Jean "Moebius" Girard, British illustrator Chris Foss, and Swiss artist H.R. Giger. See Barnett *supra* note 129. H.R. Giger is best known for his science fiction artwork on the film *Alien*, which earned him an Academy Award in 1980. See *Giger's Alien*, HR GIGER, hrgiger.com [<https://perma.cc/DB7W-QJJ8>].

¹³¹ See Westenfeld, *supra* note 129 ("Two years into the process, the project was killed due to a lack of funding.").

Christie's placed an estimate on the book of approximately \$26,000–\$36,000; however, the final selling price was an astounding \$3 million.¹³² The buyer was an anonymous NFT group that called themselves Spice DAO.¹³³ Following its purchase, the group announced that it planned to produce an animated series inspired by the book.¹³⁴ Additionally, it intended to tear apart the book, presumably into individual pages, from which a series of NFTs would be created and sold.¹³⁵ Ultimately, Spice DAO suggested it might also burn the physical copy of the book, make a video of the exploit, and turn that into an NFT as well.¹³⁶

As Spice DAO quickly learned, their purchase of the movie concept book in no way provided them with the rights they needed for any part of their multifaceted project, with the notable exception of burning their \$3 million book pursuant to the first sale doctrine.¹³⁷ Furthermore, the literary work written by Frank Herbert will remain under copyright protection until 2056¹³⁸ while the art concept book created by Jodorowsky will probably not enter the public domain until the 2090s.¹³⁹

¹³² Angeleti, *supra* note 129.

¹³³ Westenfeld, *supra* note 129; *see also* Kevin Roose, *The Latecomer's Guide to Crypto: What Are DAOs?*, N.Y. TIMES (March 18, 2022), <https://www.nytimes.com/international/2022/03/18/technology/cryptocurrency-crypto-guide.html> (“DAO stands for decentralized autonomous organization. . . . A DAO (pronounced daw) is a new kind of organizational structure, built with blockchain technology, that is often described as a sort of crypto co-op. . . . DAOs are groups that form for a common purpose, like investing in start-ups, managing a stablecoin or buying a bunch of NFTs. . . . Once it's formed, a DAO is run by its members, often through the use of crypto tokens.”).

¹³⁴ Angeleti, *supra* note 129.

¹³⁵ *Id.*

¹³⁶ *Id.*

¹³⁷ No permission is needed from the copyright owner to “sell or otherwise dispose of the possession of that copy.” 17 U.S.C. § 109(a). For further discussion of the first sale doctrine *see supra* Section III.B.1.

¹³⁸ Although Herbert passed away in 1986, and the book was created prior to the enactment of the Copyright Act of 1976, the work should remain under copyright protection until at least 2056. 17 U.S.C. § 304; *see also Frank Herbert Is Dead at 65; Author of the 'Dune' Novels*, N.Y. TIMES, Feb. 13, 1986 (§ B), at 20.

¹³⁹ It is unclear what year the art concept book was created, when it was published, and where. Nonetheless, as this appears to be a joint work with at least two of the artists currently still alive (Jodorowsky and Foss), it is quite possible that this work will be protected for many decades to come, especially if the life of the author plus 70 years calculation is used. Barnett, *supra* note 129.

Regardless, it is quite clear that if Spice DAO had actually gone forward with their initially planned activities, it would have resulted in the infringement of almost every exclusive right granted to a copyright owner under § 106.¹⁴⁰ To avoid liability, Spice DAO would have first needed to obtain permission both from Herbert's estate as well as from Jodorowsky and his co-authors in the form of copyright licenses. That is, of course, if Spice DAO had initially understood the need for such contracts.

IV. CONTRACTS

One of the foundational principles of contract law provides that, in order for an agreement to be enforceable, parties must have notice of and assent to the terms.¹⁴¹ Historically, this requirement was quite easily met as parties traditionally negotiated contracts face to face, bargained over the various terms, and usually had roughly equal economic power.¹⁴² However, this all changed with industrialization and the advent of the standard contract.¹⁴³

As standardized agreements became increasingly commonplace, consumers were left with no real ability to bargain and instead only had the choice of whether to accept or reject the proposal on the

¹⁴⁰ After a multitude of changes to their initial plans, various setbacks, a number of controversies, and undoubtedly copious conversations with legal counsel, Spice GAO planned to sell the book following the release of *Dune: Part Two*. Westenfeld, *supra* note 129. However, it is unknown if such a sale ever actually took place.

¹⁴¹ See RESTATEMENT (SECOND) OF CONTRS. § 22(1) (AM. L. INST. 1981) ("The manifestation of mutual assent to an exchange ordinarily takes the form of an offer or proposal by one party followed by an acceptance by the other party or parties.").

¹⁴² See Nancy S. Kim, *Contract's Adaptation and the Online Bargain*, 79 U. CIN. L. REV. 1327, 1332 (2011) ("Under the traditional model of contract law, parties to a contract are on roughly equal footing and can avoid oppressive contracts by shopping for terms and exercising their freedom of choice." (footnotes omitted)).

¹⁴³ *Id.*; see also Christine D. Galbraith, *Access Denied: Improper Use of the Computer Fraud and Abuse Act to Control Information on Publicly Accessible Internet Websites*, 63 MD. L. REV. 320, 342 (2004) [hereinafter Davik] ("It is black letter law that in order for a contract to be enforceable, a party must have assented to its terms. However, gone are the days when parties sit down and negotiate each and every term of an agreement."). Additionally, for an excellent and entertaining discussion of the three major evolutions of contract formation with Professor Kim, see Planet Money, *Surprise, You Just Signed a Contract! How Hidden Contracts Took over the Internet*, NPR (July 14, 2023, 8:28 PM), <https://www.npr.org/2023/07/13/1187543648/terms-and-conditions-of-service-contracts-clickwrap> [<https://perma.cc/E7QA-748U>].

exact terms presented.¹⁴⁴ Nonetheless, courts overwhelmingly enforced these contracts by “balancing the ideal of fully informed assent against the realities of the marketplace in which obtaining such assent [was] prohibitively expensive, particularly with mass-market transactions.”¹⁴⁵ In fact, even the *Second Restatement of Contracts* cited the purported advantages: “Standardization of agreements serves many of the same functions as standardization of goods and services; both are essential to a system of mass production and distribution. Scarce and costly time and skill can be devoted to a class of transactions rather than the details of individual transactions.”¹⁴⁶ Thus, rather than inquiring into whether there was an opportunity for fair and free bargaining between the parties, a court’s inquiry would instead focus on whether consumers had the chance to read and sign the agreement, thereby acknowledging acceptance of its terms.¹⁴⁷

Another significant shift concerning contract formation occurred in tandem with two major technological advances, namely the mass-market sale of software for personal computers and the transformation of the Internet into a key commercial center.¹⁴⁸ This also led to the creation of “shrinkwrap,” “clickwrap,” and “browsewrap” contracts, new types of agreements that are almost always in the form of licenses.¹⁴⁹ The choice of a license as opposed to a sale is a deliberate one by the seller, as a license ensures a

¹⁴⁴ See Kim, *supra* note 142, at 1333 (“These form agreements differed from traditional contracts because their terms were non-negotiable and offered to the consumer on a ‘take it or leave it’ basis. They became known as contracts of adhesion as the consumer was powerless to do anything other than adhere to their terms.”).

¹⁴⁵ Davik, *supra* note 143, at 342 (citing Maureen A. O’Rourke, *Property Rights and Competition on the Internet: In Search of an Appropriate Analogy*, 16 BERKELEY TECH. L.J. 561, 623–24 (2001)).

¹⁴⁶ RESTATEMENT (SECOND) OF CONTS. § 211 cmt. a (AM. L. INST. 1981).

¹⁴⁷ Planet Money, *supra* note 143, at 20:31.

¹⁴⁸ See Kim, *supra* note 142, at 1335 (“As with standard form agreements generally, mass consumer software licenses developed out of business necessity. When personal computers were first introduced in the mass consumer marketplace, software companies were uncertain about whether copyright law protected software.”).

¹⁴⁹ See *id.* at 1336–37 (surveying the rise of shrinkwrap licenses and the later acceptance of clickwrap and browsewrap agreements).

purchaser will not obtain the benefits associated with the first sale doctrine under copyright law.¹⁵⁰

Shrinkwrap licenses got their “name from the fact that retail software packages are covered in plastic or cellophane ‘shrinkwrap,’ and some vendors . . . have written licenses that become effective as soon as the customer tears the wrapping from the package.”¹⁵¹ What made these agreements so different from the earlier standard form contracts was the fact that purchasers could not even see the terms and conditions until after the transaction was complete.¹⁵² However, in the seminal case *ProCD, Inc. v. Zeidenberg*, Judge Frank Easterbrook held that the form of such agreements did not impede a finding of mutual assent to the bargain.¹⁵³ To the contrary, Judge Easterbrook found that it likely better reflected the parties’ choice:

Vendors can put the entire terms of a contract on the outside of a box only by using microscopic type, removing other information that buyers might find more useful (such as what the software does, and on which computers it works), or both. . . . Notice on the outside, terms on the inside, and a right to return the software for a refund if the terms are unacceptable (a right that the license expressly extends), may be a means of doing business valuable to buyers and sellers alike.¹⁵⁴

Additionally, the court identified several other common contexts that involve “transactions in which the exchange of money precedes the communication of detailed terms.”¹⁵⁵ These included the purchase of insurance, airline tickets, and also a wide variety of

¹⁵⁰ See discussion *supra* Section III.B.1. The public display right under 17 U.S.C. § 109(c) would be impacted as well, but this was far less of a concern at the time.

¹⁵¹ *ProCD, Inc. v. Zeidenberg*, 86 F.3d 1447, 1449 (7th Cir. 1996).

¹⁵² See, e.g., *id.* at 1452–53 (explaining how Zeidenberg agreed to terms seen *after* the transaction but *before* beginning to use the software).

¹⁵³ See *id.* at 1453 (“Zeidenberg has not located any Wisconsin case—for that matter, any case in any state—holding that . . . the ordinary terms found in shrinkwrap licenses require any special prominence, or otherwise are to be undercut rather than enforced. In the end, the terms of the license are conceptually identical to the contents of the package.”).

¹⁵⁴ *Id.* at 1451.

¹⁵⁵ *Id.*

consumer goods where it is customary to find a leaflet containing terms and a warranty inside the box.¹⁵⁶ Following the *ProCD* decision and its abundantly clear “prioritization of business needs over doctrinal fidelity,” courts frequently found shrinkwrap licenses to be enforceable.¹⁵⁷

Around the same time as the *ProCD* decision, use of the Internet almost exclusively by military and academic interests was quickly switching to widespread public use.¹⁵⁸ This exponential growth was largely driven by the development of the World Wide Web and its eventual progression into a major source for news, culture, and business.¹⁵⁹ To facilitate commerce on the web, however, new electronic forms of contracts were necessary.¹⁶⁰ In general, website operators created two different ways in which to invite acceptance.

One such method, a clickwrap agreement, is so named because users are required to indicate assent by checking a box online before using a website or purchasing a product.¹⁶¹ The website presents the user with the terms and conditions of the agreement usually by means of a pop-up screen.¹⁶² Questions concerning mutual assent tend not to be raised very often with clickwrap agreements, as “the consumer has received notice of the terms being offered and, in the words of the *Restatement*, ‘knows or has reason to know that the other party may infer from his conduct that he assents’ to those

¹⁵⁶ *Id.* at 1451–52.

¹⁵⁷ Kim, *supra* note 142, at 1336–37.

¹⁵⁸ See *Internet History 1962 to 1992*, COMPUT. HIST. MUSEUM, <https://www.computerhistory.org/internethistory/> [<https://perma.cc/HUB7-95UF>] (discussing early research into the Internet by the U.S. Department of Defense and noting that, by 1992, the Internet had one million hosts).

¹⁵⁹ See *Internet History of the 1990s*, COMPUT. HIST. MUSEUM, <https://www.computerhistory.org/internethistory/1990s/> [<https://perma.cc/6LVT-86JT>] (documenting the growth of the Internet as a result of the World Wide Web).

¹⁶⁰ See Kim, *supra* note 142, at 1333 (“Industrialization enabled the mass production and sale of goods to consumers. Businesses found it more efficient to create standard terms for mass consumer transactions. . .”).

¹⁶¹ *E.g.*, *Berman v. Freedom Fin. Network, LLC*, 30 F.4th 849, 856 (9th Cir. 2022); *Register.com, Inc. v. Verio, Inc.*, 356 F.3d 393, 429 (2d Cir. 2004); *Foster v. Walmart, Inc.*, 15 F.4th 860, 863 (8th Cir. 2021); *Nguyen v. Barnes & Noble Inc.*, 763 F.3d 1171, 1175–76 (9th Cir. 2014).

¹⁶² *Berman*, 30 F.4th at 856.

terms.”¹⁶³ Consequently, courts have ordinarily found such forms of electronic contracts to be enforceable.¹⁶⁴

The other type of electronic contracts developed and utilized by website operators are referred to as browsewrap agreements. As the name suggests, in order to find the terms and conditions, a user must browse the site to locate them; instead of the contract terms being provided directly to the user,¹⁶⁵ they are “hidden in an interior page that can be accessed only by clicking on a hyperlink.”¹⁶⁶ These hyperlinks are typically, although not always,¹⁶⁷ located at the bottom of the page with titles such as “Terms of Use” or “Legal Notices.”¹⁶⁸ Additionally, users are not asked to accept said terms but have “supposedly [indicated] assent to those terms simply by continuing to use the website.”¹⁶⁹ Not surprisingly, courts have been more hesitant to enforce browsewrap agreements.¹⁷⁰

In determining the validity of browsewrap contracts, the focus of the inquiry is normally on “whether there is adequate notice to create ‘actual or constructive knowledge of [the] website’s terms and conditions.’”¹⁷¹ However, if the webpage does not appear to be a legal agreement and includes inconspicuous contractual language, a user is generally “under no duty to read the document or webpage.”¹⁷² Furthermore, a consumer will not be bound to such provisions of which they were unaware.¹⁷³ Instead, a user only “has a duty to read

¹⁶³ *Id.* (quoting RESTATEMENT (SECOND) OF CONTRACTS § 19(2) (AM. L. INST. 1981)).

¹⁶⁴ *E.g., id.; Foster*, 15 F.4th at 863; *Meyer v. Uber Techs., Inc.*, 868 F.3d 66, 75 (2d Cir. 2017).

¹⁶⁵ *Foster*, 15 F.4th at 863 (citing *Nguyen*, 763 F.3d at 1176).

¹⁶⁶ Kim, *supra* note 142, at 1337.

¹⁶⁷ *See infra* Section V (discussing the difficulty, if not impossibility, of locating the terms and conditions associated with the sale of NFTs).

¹⁶⁸ Kim, *supra* note 142, at 1337 (citing Christina L. Kunz et al., *Browse-Wrap Agreements: Validity of Implied Assent in Electronic Form Agreements*, 59 BUS. LAW. 279 (2003)).

¹⁶⁹ *Berman v. Freedom Fin. Network, LLC*, 30 F.4th 849, 856 (9th Cir. 2022).

¹⁷⁰ *See, e.g., id.* (“Courts are more reluctant to enforce browsewrap agreements because consumers are frequently left unaware that contractual terms were even offered, much less that continued use of the website will be deemed to manifest acceptance of those terms.” (citing *Nguyen*, 763 F.3d at 1178)).

¹⁷¹ *Foster v. Walmart, Inc.*, 15 F.4th 860, 863 (8th Cir. 2021) (alteration in original) (quoting *Nguyen*, 763 F.3d at 1176).

¹⁷² 1 CORBIN ON CONTRS. § 2.12 (2024).

¹⁷³ *Id.*

the site's terms of use only if they knew or reasonably should have known about them.”¹⁷⁴

As discussed in the next section, many of the contracts involving NFTs arguably fall in the browsewrap category or even something worse.¹⁷⁵ Complicating matters is the fact that there are often at least two potential sets of terms governing the sale: namely, the terms of the digital platform or marketplace that serves as the intermediary and the terms of the creator/seller of the NFT. Further obfuscating things is the lack of any sort of uniformity among the various NFT marketplaces and the extreme differences in contractual terms between individual sellers, making it very difficult for consumers.

V. “PURCHASING” AN NFT

Most NFTs are acquired through online marketplaces. Some offer a full range of NFTs, including those linked to digital art, collectibles, photography, trading cards, and more.¹⁷⁶ This includes the largest NFT marketplace OpenSea,¹⁷⁷ which is often analogized to eBay or Amazon but for non-fungible tokens.¹⁷⁸ Other NFT marketplaces are more focused, instead offering tokens tied to a specific subject matter and in a particular type of digital format. One such example is NBA Top Shot, which only sells NFTs associated with digital video clips of basketball highlights from NBA games.¹⁷⁹ Still others are sites that sell NFTs associated with fine art, usually digital artwork that has been curated in a manner similar to the way in which a museum might choose works from

¹⁷⁴ *Id.*

¹⁷⁵ I refer to this next level browsewrap-type of agreement, requiring creative exploration and moving from one website to another, as “searchwrap.”

¹⁷⁶ For a curated list of NFT marketplaces, see Motley Fool Money Staff, *Best NFT Marketplaces for 2024: Our Top 9 Picks*, THE MOTLEY FOOL, <https://www.fool.com/the-ascent/cryptocurrency/nft-marketplaces/> [https://perma.cc/6YAE-UHKP] (Oct. 17, 2024).

¹⁷⁷ OPENSEA, *supra* note 42.

¹⁷⁸ See, e.g., Russell Brandom, *How One Company Took Over the NFT Trade*, THE VERGE (Feb. 2, 2022, 11:19 AM), <https://www.theverge.com/2022/2/2/22914081/open-sea-nft-marketplace-web3-fundraising-finzer-a16z> (reporting that the founders of OpenSea aspired to be like eBay for crypto assets and viewed themselves as the Amazon of Web3, while developing tools for buying, selling, and making offers for blockchain tokens).

¹⁷⁹ See NBA TOP SHOT, *supra* note 17.

specially selected artists for an exhibit. This includes the online site SuperRare,¹⁸⁰ as well as auction houses Christie's¹⁸¹ and Sotheby's.¹⁸²

While finding a source to purchase an NFT is relatively easy, as further illustrated below, identifying the controlling terms of the sale can be challenging. Moreover, it is not uncommon for there to be multiple contracts involved, especially when there is an artist, a purchaser, and a third-party marketplace facilitating the transaction between them. Consequently, this can lead to contradictions between the various agreements, often exacerbated by language that is not easily comprehensible to the average consumer. As a result, one could understand how and why NFT purchasers so often believe they are purchasing a piece of digital art, when in reality, all they are usually getting is a link along with a line of code on the blockchain.

A. OPENSEA

OpenSea's terms and conditions can be accessed through a hyperlink at the very bottom of its landing page.¹⁸³ However, in order to actually get to this link, one must scroll through four full pages of material containing a plethora of much more interesting and visually stimulating information. At the time of writing, this included a headline on how to obtain tickets to Coachella in the form of NFTs, with an enticing panoramic, aerial view of last year's event. Next, there are rows and rows of various digital works in categories such as top trending NFTs, notable NFT collections, "Top Collector Buys Today," as well as an additional collection of digital art, music, photography, and collectibles, among others. Only after wading through all of this, in the very far lower right-hand corner, tucked away to the right of the "Privacy Policy" link in small white letters, are the words "Terms of Service." A screenshot from the

¹⁸⁰ SUPERRARE, <https://superrare.com> [<https://perma.cc/YCK6-FA4G>].

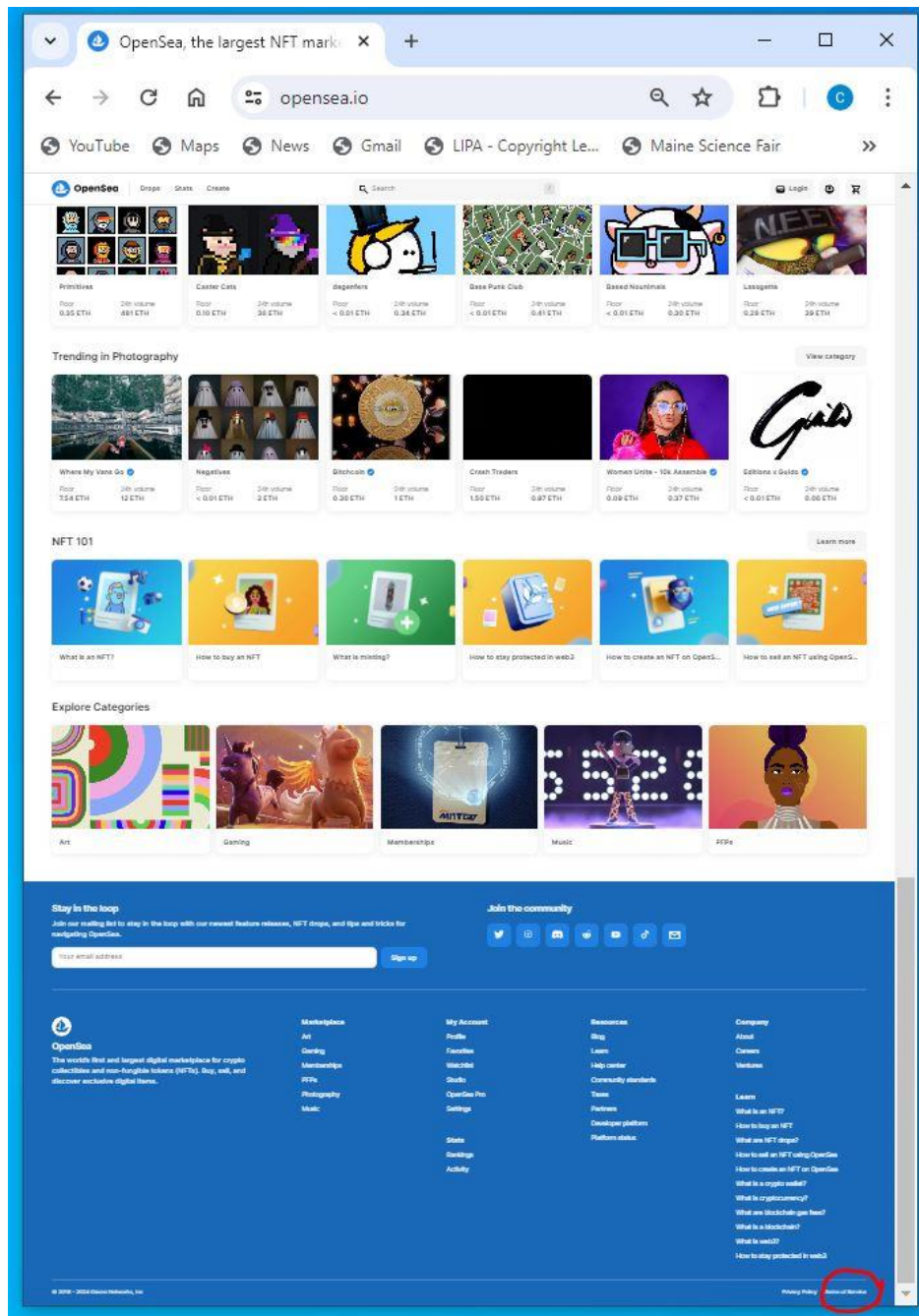
¹⁸¹ *Digital Art & NFTs*, CHRISTIE'S, <https://www.christies.com/en/events/digital-art-and-nfts/overview> [<https://perma.cc/4HFV-AQ7Q>].

¹⁸² *Digital Art*, SOTHEBY'S, <https://www.sothebys.com/en/departments/digital-art> [<https://perma.cc/9EK3-5MAZ>].

¹⁸³ *Terms of Service*, OPENSEA, <https://opensea.io/tos> (Apr. 4, 2023) [hereinafter OpenSea TOS]. Documentation of the landing page layout remains on file with the author.

original time of writing is reproduced on the following page with the addition of a red circle added to emphasize the Terms of Service link¹⁸⁴:

¹⁸⁴ Screenshot by Author on Mar. 26, 2024, OpenSea Landing Page, *in* OPENSEA, <https://opensea.io>. As of December 4, 2024, both the Privacy Policy and Terms of Service links remain active in the bottom right-hand corner of the landing page.



The manner in which OpenSea presents the link fits more in the browsewrap category than in the clickwrap category. This becomes even more obvious once one clicks on the link and arrives at Section 1 of the Terms of Service page. A few paragraphs down in all capital letters and boldface type it reads:

BY CLICKING TO ACCEPT, SIGN, AND/OR USING OUR SERVICE, YOU AGREE TO BE BOUND BY THESE TERMS AND ALL OF THE TERMS INCORPORATED HEREIN BY REFERENCE. IF YOU DO NOT AGREE TO THESE TERMS, YOU MAY NOT ACCESS OR USE THE SERVICE.¹⁸⁵

While it might invite an acceptance by clicking, there is no such place to “click,” and the same applies to signing as well. Consequently, if assent is obtained pursuant to this provision, if at all, it would have to be by continued use of the OpenSea website. As previously discussed, this may not be enough to bind a consumer to the agreement.¹⁸⁶

Ultimately, the result will likely come down to a question of whether users actually had notice of the terms or should have known of them based upon the way in which they were presented to consumers of the site. Assuming a court found there was adequate notification and thus mutual assent, which is of course highly debatable, many of the provisions contained within OpenSea’s terms of service attempt to delineate the very limited responsibilities OpenSea has with regard to NFT transactions that occur on its website. The following language is particularly representative: “OpenSea is not party to any agreement between any users.”¹⁸⁷

Other provisions speak to third-party content, which would include any potential intellectual property rights related to the NFTs sold on the OpenSea marketplace:

¹⁸⁵ OpenSea TOS, *supra* note 183, § 1.

¹⁸⁶ For further discussion on the importance of notice in evaluating browsewrap agreements, see *supra* Section III.

¹⁸⁷ OpenSea TOS, *supra* note 183, § 1.

OpenSea does not make any representations or warranties about this third-party content visible through our Service, including any content associated with NFTs displayed on the Service, and you bear responsibility for verifying the legitimacy, authenticity, and legality of NFTs that you purchase from third-party sellers. . . . Users are solely responsible for any content related to their NFTs.¹⁸⁸

Essentially, OpenSea is placing the onus of determining the validity, lawfulness, and provenance of a given work linked to an NFT on the purchaser and seller. Such a limitation is not all that surprising in light of the exceptionally large volume of sales that occur on the marketplace.¹⁸⁹ Additionally, in any given transaction, OpenSea is likely the party with the least amount of information available to it, as compared to the seller of the NFT (who likely has the most control over data concerning the linked artwork) or the potential purchaser (who is arguably highly motivated to obtain this evidence).

Lastly, the terms and conditions include language that attempts to put consumers on notice that there may be one or more supplementary contracts applicable to the NFT sale involving solely the buyer, seller, and/or creator that may be related to content associated with the NFT. The provision instructs the user to be especially cognizant of additional information, details, or hyperlinks that might be available in connection with a particular NFT listing on the site, which could lead to a third-party website. The relevant OpenSea term reads as follows:

There may be terms and conditions that apply to the NFTs' themselves set directly between buyers, sellers, and/or creators with respect to the NFT including with respect to the use of the NFT content and rights and

¹⁸⁸ *Id.* § 5.

¹⁸⁹ See Ben Weiss, *Sunk Cost*, THE VERGE (Aug. 28, 2024, 1:30 PM), <https://www.theverge.com/24161573/opensea-crypto-nfts-workplace-rise-fall> (“As more images of apes, punks, cats, and penguins changed hands, OpenSea collected more fees. Revenue skyrocketed from \$9 million in the second quarter of 2021 to \$167 million in Q3 and \$186 million in Q4, according to an internal company document.”).

obligations associated with a given NFT (“NFT Terms”). . . . [Y]ou may notice a third-party link to NFT Terms governing the use of the NFT that you will be required to comply with. OpenSea does not set the NFT Terms and is not party to any such NFT Terms, which are solely between the buyer, seller, and/or creator. The buyer, seller, and/or creator are entirely responsible for communicating, promulgating, agreeing to, and enforcing NFT Terms. You are responsible for reviewing such NFT Terms.¹⁹⁰

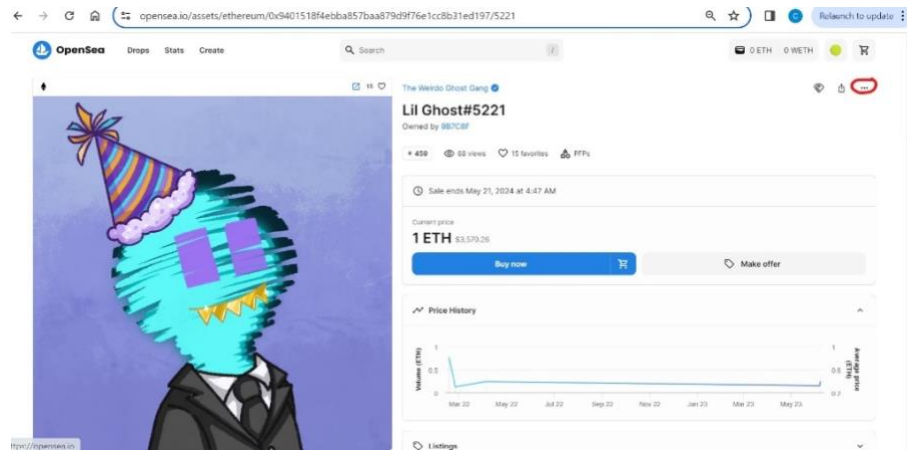
According to OpenSea, users would have to comply with these referenced contracts. However, as shown below in three examples from three different sellers/creators, there is significant variability in how NFT listings present data of this type, if it even appears at all.

1. *Ghosts*. One new and somewhat curious collection offered for sale on OpenSea is called “The Weirdo Ghost Gang.”¹⁹¹ Each NFT features a “ghost” with its own unique selection of clothing, accessories, and hairstyles or headwear. When one clicks on a particular ghost of interest, a page appears featuring the details of the specific NFT. However, there does not appear to be anything visible on the screen related to the terms and conditions of sale. As it turns out, in order to locate those provisions, a consumer has to take a variety of additional steps, many of which are far from intuitive. This begins with clicking on the circular icon near the right corner of the page (red circle added for emphasis)¹⁹²:

¹⁹⁰ *Id.* § 5.

¹⁹¹ *The Weirdo Ghost Gang*, OPENSEA, <https://opensea.io/collection/the-weirdo-ghost-gang> (last visited Dec. 6, 2024).

¹⁹² Screenshot by Author on Mar. 26, 2024, Lil Ghost#5221, in OPENSEA, <https://opensea.io/assets/ethereum/0x9401518f4ebba857baa879d9f76e1cc8b31ed197/5221>.



Doing so causes a drop-down list that shows three options, one of which displays a website icon and is entitled “View Website.” This icon is actually a hyperlink which will take the user directly to the Weirdo Ghost Gang homepage.¹⁹³ Upon arrival to the website, in the top right corner of the webpage in smaller and fainter white text, there are a number of topics listed: “Gallery,” “Ghost-Map,” “Playground,” and “X/Twitter,” along with a drop-down menu with a host of additional choices. One of the options in very tiny print is the word “Docs” along with an even smaller arrow icon (red circle added for emphasis)¹⁹⁴:

¹⁹³ WEIRDO GHOST GANG, <https://www.weirdoghost.com/> [https://perma.cc/4ERQ-LHU6].

¹⁹⁴ Screenshot by Author on Mar. 26, 2024, Weirdo Ghost Gang Homepage and Terms of Service Link, *in* WEIRDO GHOST GANG, <https://www.weirdoghost.com/> [https://perma.cc/4ERQ-LHU6].



From there the user arrives at another page with a wide variety of additional information about the NFT collection.¹⁹⁵ On the left side of the screen is a list of topics, one of which is entitled “Terms & Conditions.”¹⁹⁶ If a user clicks this link, they are taken to yet another page where they finally arrive at the NFT agreement that may govern their purchase of the Weirdo Ghost Gang NFT.¹⁹⁷

While the search for the contractual terms is exceptionally convoluted, the terms themselves are surprisingly generous, especially as compared to most others: Weirdo Ghost Gang appears to grant significant rights in the associated artwork and not just ownership in the token itself, including nonexclusive, worldwide, and royalty-free licenses to the purchaser for both commercial and noncommercial purchases.¹⁹⁸ One preliminary problem, however, is that the language utilized is at times contradictory, referring to

¹⁹⁵ *About Weirdo Ghost Gang*, WEIRDO GHOST GANG, <https://docs.weirdoghost.com/> [<https://perma.cc/6GGE-QACL>].

¹⁹⁶ *Id.*

¹⁹⁷ *Terms & Conditions*, WEIRDO GHOST GANG, <https://docs.weirdoghost.com/terms-and-conditions> [<https://perma.cc/2EX6-W754>] (Mar. 3, 2023) [hereinafter Ghosts T&C]. There are substantial questions related to whether a user would have been provided reasonable notice of these terms in light of the significant number of steps required to arrive at the purported contract governing the parties’ transactions. See *supra* Section III (discussing the requirement of mutual assent in contractual formation).

¹⁹⁸ *E.g.*, Ghosts T&C, *supra* note 197.

both ownership rights in the artwork obtained by the purchaser through the sale¹⁹⁹ as well as rights granted by the seller through a license.²⁰⁰ Accordingly, if the purchaser actually did acquire all of the copyright rights associated with the artwork along with the NFT, there would no longer be any rights left for the seller to license, nor would it be necessary. Lastly, in order to assign copyright ownership in a work, there needs to be a signed, written agreement.²⁰¹ It is highly doubtful that either the sale via the OpenSea marketplace or the recordation on the blockchain would be sufficient to meet this requirement.²⁰²

Assuming this agreement is in fact a license, it expressly allows the purchaser of a Ghost NFT to exercise a number of the rights of a copyright holder with regard to the connected image of the Ghost, including both noncommercial and commercial applications.²⁰³ The noncommercial grant allows the purchaser “to use, reproduce, display, modify, and create derivative works” in applications that may include but are not necessarily limited to “use as a profile picture, to create art derivatives in a third-party platform, or to display in public exhibitions.”²⁰⁴ Additionally, the agreement permits the purchaser “to use, copy, reproduce, and display the Weirdo Ghost Gang NFT Art . . . for any Commercial Use.”²⁰⁵ Moreover, it also contains a number of other quite favorable policies for purchasers, including the following:

This license permits you to create and sell merchandise products (such as clothing) displaying copies of the Art

¹⁹⁹ See *id.* (“When you purchase an NFT token, you own the token and its corresponding underlying image/art of Weirdo Ghost Gang.”).

²⁰⁰ See *id.* (“[W]e hereby grant you . . . [a] non-exclusive, worldwide, royalty-free license . . .”).

²⁰¹ The Copyright Act provides as follows with regard to the form of copyright transfers: “A transfer of copyright ownership, other than by operation of law, is not valid unless an instrument of conveyance, or a note or memorandum of the transfer, is in writing and signed by the owner of the rights conveyed or such owner’s duly authorized agent.” 17 U.S.C. § 204(a).

²⁰² See *supra* Section III for a discussion of enforcement issues surrounding online contracts of adhesion.

²⁰³ See *supra* note 198 and accompanying text.

²⁰⁴ Ghosts T&C, *supra* note 197.

²⁰⁵ *Id.*

or to mint and create new NFTs based on your Weirdo Ghost Gang NFT Art Additionally, nothing in this Section will restrict you from owning or operating a marketplace or third-party website or application that permits the use and sale of Weirdo Ghost Gangs generally You may also earn revenue from any of the foregoing.²⁰⁶

Although it is not unheard of to see an NFT provision that allows commercial uses, normally they specify the types of commercial uses allowed and place a maximum cap on annual earnings.²⁰⁷ Moreover, permitting buyers to actually mint and create new NFTs based on the NFT they purchased is highly unusual. The bottom line is that while the Weirdo Ghost Gang NFT Terms and Conditions are remarkably favorable to buyers, this is far from the norm. More often than not, as illustrated in the examples below, it is just the opposite.

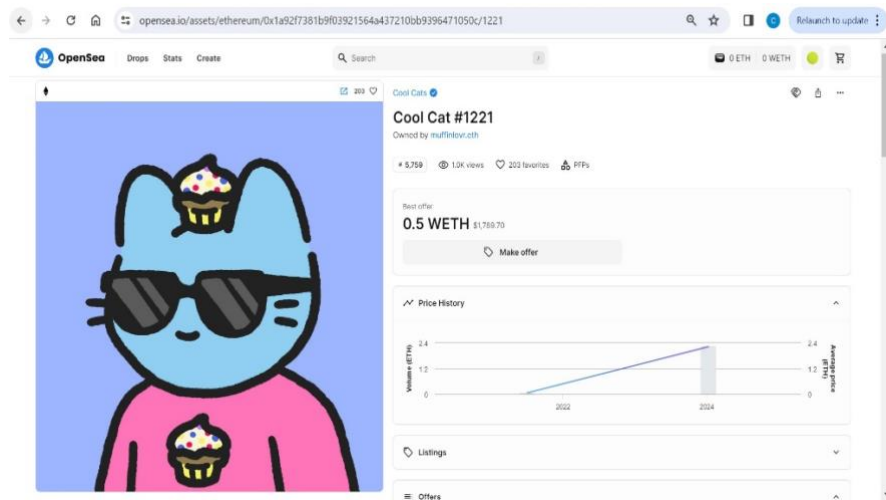
2. *Cats*. The Cool Cats collection consists of “9,999 randomly generated and stylistically curated NFTs” featuring felines of various colors, clothing choices, and accessories.²⁰⁸ An example of an NFT currently offered for sale is pictured below²⁰⁹:

²⁰⁶ *Id.*

²⁰⁷ See, e.g., *CryptoKitties Terms of Use*, DAPPER LABS, [https://www.cryptokitties.co/\[https://perma.cc/DJW2-Z3MM\]](https://www.cryptokitties.co/[https://perma.cc/DJW2-Z3MM]) (Nov. 15, 2018) (restricting commercial use of the NFT when gross revenue exceeds \$100,000).

²⁰⁸ *Cool Cats*, OPENSEA, <https://opensea.io/collection/cool-cats-nft> (last visited Dec. 6, 2024).

²⁰⁹ Screenshot by Author on Mar. 28, 2024, Cool Cat #1221, in OPENSEA, <https://opensea.io/assets/ethereum/0x1a92f7381b9f03921564a437210bb9396471050c/1221>.



The OpenSea page layout for individual Cool Cat NFTs are arranged very similarly to the Weirdo Ghost Gang NFT page reviewed above.²¹⁰ Of particular importance, this includes the same ellipsis again in the upper right corner that contains a drop-down menu with a website icon.²¹¹

Upon clicking the icon, the user is taken to the landing page of the Cool Cats website.²¹² To obtain the terms and conditions, a consumer must first scroll down to the bottom of the page where there is a line of phrases in small print, one of which is listed as “Terms & Conditions.”²¹³ The hyperlink leads to another webpage that includes twenty-two separate provisions on a wide variety of topics seemingly related to use of the website and associated content.²¹⁴ Immediately below this, there is another separate section labeled “Additional Terms for Purchasers and Other Registered Users” consisting of nine separate provisions concerning

²¹⁰ See *supra* Section V.A.1.

²¹¹ *Id.*

²¹² COOL CATS, <https://coolcats.com/> [<https://perma.cc/R8WJ-33D9>].

²¹³ *Id.*

²¹⁴ *Terms and Conditions*, COOL CATS, <https://coolcats.com/terms-and-conditions> [<https://perma.cc/VL3A-DZMS>] (Feb. 2, 2023).

the Cool Cat NFT platform that NFT owners can utilize.²¹⁵ The ninth and last provision states simply: “Your ownership of a Cool Cats NFT is subject to an NFT license,” although no such license is included therein.²¹⁶ Instead, one must click on yet another hyperlink to find the actual terms.

Doing so transports the user to a separate webpage that contains a “license to use the Art associated with the NFTs.”²¹⁷ The agreement begins by making very clear from the outset that the purchaser of a Cool Cats NFT does not obtain ownership rights in the linked digital art:

This License gives you rights to use the Art, but you don’t own it. Creator (or, as applicable, its licensors) owns all worldwide legal right, title and interest in and to the Art, and all intellectual property rights therein. Your rights in and to the Art are limited to those described in this License. Creator reserves all rights in and to the Art not expressly granted by this License.²¹⁸

The types of uses that are allowed under the license are written in rather broad terms that are not particularly clear. For example, at first glance it might appear as if the license provides the purchaser with wide latitude to prepare derivative works, but in reality, it seems this is not likely the case: “[You may] use the Art associated with your Cool Cats NFTs . . . for creating derivative works based upon the Art, provided that no such derivative works are substantially similar to any other Art in Cool Cats NFTs, as determined in our sole discretion”²¹⁹

In order to make derivative works under this provision without incurring liability, virtually impossible obstacles would have to be overcome. First, one would need to be aware of every one of the 9,998 other works in the Cool Cats NFT collection and identify aspects of

²¹⁵ *Additional Terms for Purchasers and Other Registered Users*, COOL CATS, <https://coolcats.com/terms-and-conditions> [<https://perma.cc/VL3A-DZMS>] (Feb. 2, 2023).

²¹⁶ *Id.* § 9.

²¹⁷ *NFT License*, COOL CATS, <https://coolcats.com/nft-license> [<https://perma.cc/NUZ6-C4KL>].

²¹⁸ *Id.* § 2, ¶ 1.

²¹⁹ *Id.*

each that might be entitled to intellectual property protection.²²⁰ Second, when creating a derivative work, the NFT purchaser would have to avoid all Cool Cats intellectual property, as well as any material that could possibly be viewed as substantially similar to such protectable material too.²²¹ Lastly, even in the unlikely event all of that was accomplished, the purchaser would still be completely at the mercy of Cool Cats, since the decision as to whether any such derivative work produced is in compliance with this clause is to be based solely on the opinion of Cool Cats and no one else.²²²

The only other terms that grant use rights to the artwork linked to the Cool Cats NFT allow “for your own personal, non-commercial display and use”²²³ or “for commercializing your own Merchandise that includes, contains, or consists of the Art or your Derivatives.”²²⁴ Neither of these are further defined nor are any examples given as to what would be deemed acceptable or unacceptable. Further, the additional reference to “Derivatives” would likely carry with it the very same hurdles discussed immediately above. As previously noted, this is quite problematic, as failure to comply with these provisions may not just be a breach of contract but could also be considered copyright infringement as well.²²⁵

3. *Dogs*. The Doge Pound NFT collection consists of approximately 10,000 NFTs.²²⁶ According to its information page on OpenSea, it is also a community of canine lovers “committed to helping dogs across the globe,” and it is “currently building the largest dog rescue shelter in East Africa.”²²⁷ Similar to the OpenSea Weirdo Ghost Gang and Cool Cats NFT collections discussed above, selecting an individual NFT from the Doge Pound NFT collection

²²⁰ *Id.*

²²¹ *Id.*

²²² *Id.*

²²³ *Id.*

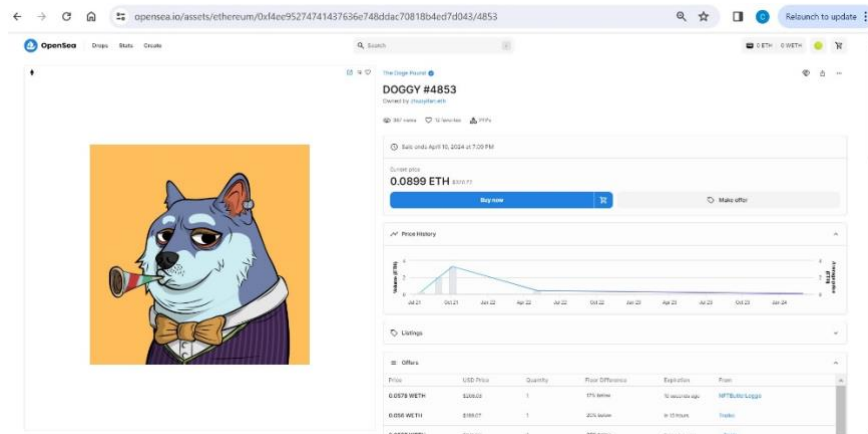
²²⁴ *Id.*

²²⁵ *See supra* Section III.

²²⁶ *The Doge Pound*, OPENSEA, <https://opensea.io/collection/the-doge-pound> (last visited Dec. 6, 2024).

²²⁷ *Id.*

will take you to a page dedicated to the particular NFT in question²²⁸:



Using the same process as before, the user can eventually click on the hyperlink, which will take a potential consumer to the homepage of the Doge Pound NFT website.²²⁹ Upon arrival, one is greeted with a variety of graphics showcasing various Doge Pound NFTs, a section introducing new Doge Pound Puppies, information on the construction of the dog shelter in Tanzania, and various partnerships in the works.²³⁰ Finally, at the very bottom of the page, there are a number of symbols, single words, or phrases, including “Terms.”²³¹ Clicking on “Terms” brings a potential consumer to a separate webpage entitled “Terms & Conditions.”²³²

The Doge Pound NFT Terms & Conditions contain very few provisions related to the way in which a purchaser of an NFT is allowed to engage with the associated artwork.²³³ Further, what rights are granted are exceptionally limited in scope. While the

²²⁸ Screenshot by Author on Mar. 28, 2024, Doggy #4853, in OPENSEA, <https://opensea.io/assets/ethereum/0xf4ee95274741437636e748ddac70818b4ed7d043/4853>.

²²⁹ THE DOGE POUND NFT, <https://thedogepoundnft.com/> [<https://perma.cc/K5WZ-N7M9>].

²³⁰ *Id.*

²³¹ *Id.*

²³² *Terms and Conditions*, THE DOGE POUND NFT, <https://thedogepoundnft.com/terms> [<https://perma.cc/86FY-B6UQ>].

²³³ See *id.* (providing only seven sentences and a four-point bulleted list to explain the terms).

agreement states that the owner of an NFT has a “license to use, copy, and display the purchased Art,” these rights are limited to four specific contexts: (1) as part of a marketplace that buys and sells Doge Pound NFTs; (2) in connection with owning or operating a marketplace that buys and sells Doge Pound NFTs; (3) as part of a third-party website or application that “permits the inclusion, involvement, or participation” of Doge Pound NFTs; or (4) in connection with owning or operating a third-party website or application that “permits the inclusion, involvement, or participation” of Doge Pound NFTs.²³⁴ Additionally, these four uses are only allowed if the marketplace, third-party website, or third-party application “cryptographically verifies each [of] The Doge Pound NFT owner’s rights . . . to ensure that only the actual owner can display the Art.”²³⁵ Consequently, if a purchaser of a Doge Pound NFT had intended to use the art associated with it for a number of commercial or even noncommercial applications, they might be quite disappointed, as the agreement itself clearly does not permit this, nor much of anything else.

B. NBA TOP SHOT

Unlike OpenSea, which sells NFTs from a multitude of different entities and artists covering a wide variety of formats, NBA Top Shot is an NFT marketplace dedicated solely to the purchase, sale, and trade of video clips from NBA games.²³⁶ NBA Top Shot is a collaboration between the NBA and Dapper Labs, which owns the Flow blockchain and supports the transactions taking place on the platform.²³⁷ The NFTs sold on the site are called “Moments” and usually consist of a digital video clip of a “spectacular dunk or game-winning shot.”²³⁸ Moreover, each Moment is officially licensed by the NBA and generally includes additional information such as the

²³⁴ *Id.*

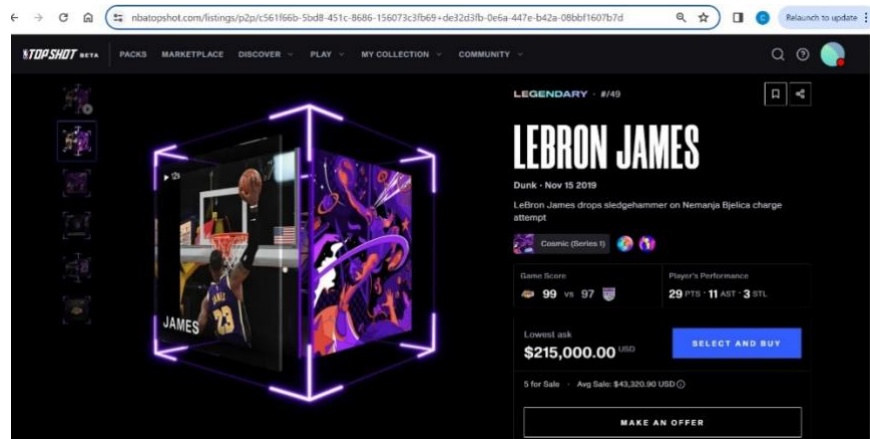
²³⁵ *Id.*

²³⁶ Robyn Conti, *Guide to NBA Top Shot*, FORBES, <https://www.forbes.com/advisor/investing/cryptocurrency/nba-top-shot> [https://perma.cc/6VV8-73Q8] (Jan. 30, 2023, 10:27 AM); *see also* NBA TOP SHOT, *supra* note 17.

²³⁷ Conti, *supra* note 236.

²³⁸ *Friel v. Dapper Labs, Inc.*, 657 F. Supp. 3d 422, 429 (S.D.N.Y. 2023).

player's statistics, data about the game from which the clip was pulled, the team logo, a still photo of the player, and oftentimes additional artwork as well.²³⁹ For example²⁴⁰:



The LeBron James Moment pictured above is one of the rarest and most expensive NFTs on the site, with an original asking price of \$215,000.²⁴¹

Finding the Terms and Conditions potentially associated with the sale of a Moment is arguably much more straightforward than with OpenSea, as it does not require changing websites and then hunting through one webpage after another while trying to locate something that might be the legal terms. Nonetheless, NBA Top Shot still requires a potential customer to scroll to the very bottom of the homepage and, once there, locate among the various groupings of information topics the one entitled "Legal."²⁴² Underneath this header appear the words "Terms," "Privacy," and

²³⁹ See Conti, *supra* note 236.

²⁴⁰ Screenshot by Author on Mar. 28, 2024, Storefront for LeBron James Dunk – Nov. 25 2019 Cosmic (Series 1) Moment, *in* NBA TOP SHOT, <https://nbatopshot.com/listings/p2p/c561f66b-5bd8-451c-8686-156073c3fb69-de32d3fb-0e6a-447e-b42a-08bbf1607b7d> [<https://perma.cc/3FZ9-B2CE>].

²⁴¹ As of publication, the asking price is currently \$100,000.

²⁴² NBA TOP SHOT, *supra* note 17.

“Code of Conduct.”²⁴³ A hyperlink connected to Terms takes the potential consumer to a new webpage that is titled “TERMS OF USE” in a large font and in all capital letters.²⁴⁴

The Terms clearly differentiate between ownership of the Moment or NFT on the one hand and its relation to the associated artwork, intellectual property rights, and the NBA Top Shot Application on the other.²⁴⁵ The term titled “Ownership of Moment” states as follows:

Because each Moment is an NFT on the Flow Network, when you purchase a Moment . . . you own the underlying NFT completely. This means that you have the right to swap your Moment, sell it, burn it, exchange it, upgrade it or give it away to the extent that such uses are made available in the App.²⁴⁶

This strong claim of apparent ownership rights for the buyer in connection with the NFT itself is tempered by a number of clauses explaining that this does not similarly extend to the Art itself. One such provision is entitled “Further User Ownership Acknowledgements” and actually begins with “[f]or the sake of clarity.”²⁴⁷ It further reads as follows:

[Y]ou understand and agree: (a) that your purchase of a Moment . . . does not give you any rights or licenses in or to the App Materials (including, without limitation, our copyright in and to the associated Art) other than those expressly contained in these Terms; (b) that you do not have the right, except as otherwise set forth in these Terms, to reproduce, distribute, or otherwise commercialize any elements of the App Materials (including, without limitation, any Art) without our

²⁴³ *Id.*

²⁴⁴ *Terms of Use*, NBA TOP SHOT, <https://nbatopshot.com/terms> [<https://perma.cc/EK9F-4FP8>] (Aug. 8, 2024) [hereinafter NBA Terms of Use].

²⁴⁵ *Id.*

²⁴⁶ *Id.* § 4(i).

²⁴⁷ *Id.* § 4(iv).

prior written consent in each case, which consent we may withhold in our sole and absolute discretion²⁴⁸

While the provision itself certainly makes clear that a purchaser may not receive any rights to the Art connected to the NFT, the latter half of the clause leaves open the possibility of some limited rights to the Art under specific conditions, such as through prior consent.²⁴⁹ In fact, NBA Top Shot eventually does by allowing some uses under a “User License to Art” that are very similar to those provided by other seller/creators of NFTs reviewed previously.²⁵⁰

The terms grant the purchaser of a Moment a “license to use, copy, and display the Art . . . for [their] own personal, non-commercial use.”²⁵¹ Furthermore, the license also extends to one’s “use, copy, and display of the Art” as part of a marketplace that buys and sells Moments, or as part of a third-party website or application that “permits the inclusion, involvement, or participation” of Moments.²⁵² However, these uses are only allowed if the marketplace—whether a third-party website or third-party application—“cryptographically verifies each [Moment NFT] owner’s rights to display the Art . . . to ensure that only the actual owner can display the Art.”²⁵³ Whether the rights that come along with the purchase of a Moment NFT justifies the price is all relative. At least according to sales figures, it would seem there are plenty of individuals who see value in the product offered by NBA Top Shot, with sales in March 2024 alone surpassing five million dollars.²⁵⁴

VI. “OWNING” AN NFT

As the discussion above illustrates, trying to determine exactly what a purchaser gets when they acquire an NFT is complicated to say the least. Buyers may think they are getting a token as well as

²⁴⁸ *Id.*

²⁴⁹ *Id.*

²⁵⁰ *See supra* Section V.A.

²⁵¹ NBA Terms of Use, *supra* note 244.

²⁵² *Id.* § 4(v).

²⁵³ *Id.*

²⁵⁴ *See NBA Top Shot Sales Volume Data, Graphs & Charts*, CRYPTOSLAM!, <https://www.cryptoslam.io/nba-top-shot/sales/summary> [https://perma.cc/BNU7-YC3X].

a piece of digital art with all the attendant rights to that work. Unfortunately, this is rarely the case. Instead, what they usually receive is little more than a few pieces of code on the blockchain along with a link that may allow them to view a piece of digital art which they do not own.

Additionally, to the extent buyers of NFTs fail to fully comprehend the limited nature of the rights they have obtained, they risk potential breach of contract and copyright infringement claims. To date there have been almost no cases litigated involving NFT purchasers exceeding the scope of a license; however, this is likely to change.²⁵⁵ Not only has the price of cryptocurrency recently hit a new all-time high,²⁵⁶ but major players with significant intellectual property assets are increasingly entering the NFT market.²⁵⁷

NFT marketplaces should make clear at the outset whether digital art associated with an NFT transaction is being licensed or sold.²⁵⁸ As discussed above,²⁵⁹ many protections under copyright law, such as the first sale doctrine and the limitation on the right to public display, are only available if an ownership interest has been passed in connection with the transaction.²⁶⁰ If the acquisition of

²⁵⁵ Guadamuz, *supra* note 20 (“Most instances of alleged infringement have been solved outside of the courts, usually by the removal of the token from the auction platform. But at some point, one of these cases is going to be litigated, and the question of whether the NFT is actually infringing a copyright holder’s rights will arise.”).

²⁵⁶ See Ephrat Livni, *Bitcoin’s Winning Streak Continues*, N.Y. TIMES (Mar. 12, 2024), <https://www.nytimes.com/2024/03/12/business/dealbook/bitcoin-price.html> (“The cryptocurrency has recently set a series of records, extending a rapid rally that has emboldened the virtual currency industry . . .”).

²⁵⁷ See, e.g., *Disney Pinnacle by Dapper Labs*, DISNEY, <https://disneypinnacle.com> (last visited Dec. 6, 2024) (“Chase and collect digital pins featuring characters you love, from Disney, Pixar and *STAR WARS*™[.]”).

²⁵⁸ While it is theoretically possible that an NFT seller/creator may be willing to sell the associated art, this is not usually the norm. Additionally, in order to effectuate such a transfer of copyright rights, it must be signed and in writing pursuant to the provisions of the Copyright Act. 17 U.S.C. § 204(a).

²⁵⁹ See discussion *supra* Section III.

²⁶⁰ See 17 U.S.C. § 109(d) (noting that ownership is required for someone to claim the privileges in subsections (a) and (c), which describe the first sale and public display doctrines, respectively).

any rights related to the digital art is through a license, these benefits are inapplicable.²⁶¹

Furthermore, contractual terms should be easily accessible. One should not have to go on what essentially amounts to a digital scavenger hunt to locate them. A hyperlink could easily be added to the information already contained on the individual pages for the NFT in a particular collection. And unlike the current practice, this link should take one directly to the document itself or a webpage that contains the agreement that would presumably apply.

In some ways, it is curious why at least some NFT merchants do not actively try to promote their terms of service as it might actually be a potential selling point. For example, assume there are two different entities and both sell NFTs associated with equally appealing digital artwork at similar prices. If all other things are equal, except one seller's license allows for much more engagement and use of the linked artwork, it would seem the decision would be a fairly easy one.

Then again, not everything associated with the purchase of an NFT is driven by financial or business considerations. Otherwise, it would become almost impossible to explain why anyone would spend hundreds of thousands of dollars on what might simply be little more than a string of computer code or something that could be perfectly replicated by simply right-clicking on the image.²⁶² One of the original rationales for NFTs was that it was a method by which one could easily support individual artists.²⁶³ Part of the appeal was that NFTs would provide artists with "a foolproof method to establish and verify the authenticity . . . of their digital artwork" and offer "collectors the confidence that they are acquiring

²⁶¹ *Id.*

²⁶² Guadamuz, *supra* note 20; Amy Adler, *Artificial Authenticity*, 98 N.Y.U. L. REV. 706, 765 (2023).

²⁶³ Tony M. Fountain, *How Artists Can Combine NFTs and Music to Grow Their Brands*, ROLLING STONE (Apr. 14, 2022) <https://www.rollingstone.com/culture-council/articles/artists-can-combine-nfts-and-music-to-grow-their-brands-1333829/> [<https://perma.cc/3CZN-SMUE>]. But see Anil Dash, *NFTs Weren't Supposed to End Like This*, THE ATLANTIC (Apr. 2, 2021) <https://www.theatlantic.com/ideas/archive/2021/04/nfts-werent-supposed-end-like/618488/> [<https://perma.cc/QDB2-8GED>] (noting that NFTs had moved away from their original purpose of "ensur[ing] that artists could make some money and have control over their work").

an original work.”²⁶⁴ NFTs also allowed for more direct engagement between artists and collectors as there was no need for an intermediary.²⁶⁵ Relatedly, without having to utilize the services of a gallery or auction house, the high fees associated with these third parties were avoided.²⁶⁶

Other NFT buyers purchased NFTs for reasons related to exclusivity and perceived status.²⁶⁷ Much like a signed and numbered physical print, an NFT might be minted in small or large quantities. For example, NBA Top Shot NFTs are placed into one of four categories largely based on rarity.²⁶⁸ The number of NFTs minted that are associated with the same video clip generally range from a low of approximately 50 NFTs in the “Legendary” category to about 40,000 NFTs in the “Common” category.²⁶⁹ Not surprisingly, the pricing is reflective of the scarcity as well.²⁷⁰

At the time of this writing, the most expensive Moment in the Legendary category has an asking price of around \$230,000, while one of the least expensive Moments in the Common category has an asking price of \$1.²⁷¹ But whether it is the \$230,000 NFT or the \$1 NFT, one can view all of the NBA Top Shot NFTs, including the linked video clip and any additional digital material, for free on their website. Nonetheless, individuals have yet to stop buying these items. According to experts, collectors see NFTs as a way to own the original item, complete with “built-in authentication, which serves as proof of ownership.”²⁷² And just like collectibles in the

²⁶⁴ Lee Down, *Embracing the Digital Frontier: Why Artists Should Sell NFTs*, ARTS, ARTISTS, ARTWORK (May 23, 2023), <https://artsartistsartwork.com/embracing-the-digital-frontier-why-artists-should-sell-nfts/> [<https://perma.cc/5UW8-JB5K>].

²⁶⁵ *Id.*

²⁶⁶ *Id.*

²⁶⁷ *E.g.*, Ezra Reguerra, *74% of Survey Participants Say They Buy NFTs for Status*, COINTELEGRAPH (Feb. 27, 2023), <https://cointelegraph.com/news/74-of-survey-participants-say-they-buy-nfts-for-status>.

²⁶⁸ *How Rare Is an NBA Top Shot Moment™ Collectible?*, NBA TOP SHOT: BLOG, <https://blog.nbatopshot.com/posts/nba-top-shot-rarity-blog> [<https://perma.cc/XH69-BX2B>] (Oct. 18, 2021, 10:27 AM).

²⁶⁹ *Id.* These numbers represent what was available at the time of this writing.

²⁷⁰ *See id.* (illustrating the notable price differences between Common and Legendary moments).

²⁷¹ *See generally Marketplace*, NBA TOP SHOT, <https://nbatopshot.com/transactions> [<https://perma.cc/69W5-EFXN>] (showing the wide range of prices for available NFTs).

²⁷² Conti, *supra* note 3.

brick-and-mortar world, regardless of “whether it’s baseball cards, rare books or fine art, having an original is [considered] special.”²⁷³ This is largely because “collectors value those ‘digital bragging rights’ almost more than the item itself.”²⁷⁴ For these individuals, the certificate of authenticity may be most important regardless of what might actually be authenticated. But in connection with an NFT, nothing about the work is “intrinsically authentic” since the digitally linked artwork is not truly “original” and can be perfectly reproduced.²⁷⁵

VII. CONCLUSION

The current way in which terms and conditions are usually presented to potential purchasers of NFTs in the commercial marketplace is highly problematic. Many of the individual collections of NFTs reviewed for this article required extensive searching through multiple websites, numerous webpages, and substantial review of fine print to locate contractual terms that might possibly apply. Once the documents were finally located, they were usually exceptionally one-sided, providing limited rights to the purchasers beyond ownership of the token itself. As such, it is imperative that going forward there is significantly more transparency with regard to both rights and limitations related to copyright and contract law. This is especially important since a buyer’s failure to comply could constitute not only breach of contract but copyright infringement as well.

²⁷³ Allyn, *supra* note 45.

²⁷⁴ Conti, *supra* note 3.

²⁷⁵ Adler, *supra* note 262, at 765.